

VIRTUS Data Centres Properties Limited

Annual report and financial statements

For the year ended 31 December 2024

Registered number: 09840065

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VIRTUS Data Centres Properties Limited

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VIRTUS Data Centres Properties Limited

Company information

Country of incorporation of immediate parent company

United Kingdom

Legal form

Limited Company

Principal place of business of Group

United Kingdom

Principal activities

The nature of the Group's operations and its principal activities are set out in the Strategic report

Directors

Daryl Robert Leslie Seaton

Chong Gay Ee

James Nicholas Dutson

Registered office

4th Floor, 20 Balderton Street, London, England, W1K 6TL

Company number

09840065

Auditor

KPMG LLP, New Kings Court, Tollgate, Chandler's Ford, Eastleigh, SO53 3LG

VIRTUS Data Centres Properties Limited

Strategic report

for the year ended 31 December 2024

The directors present their Strategic report on VIRTUS Data Centres Properties Limited ("the Company") and its subsidiaries (the "Group" or "VIRTUS") for the year ended 31 December 2024.

Principal activities

VIRTUS designs, builds, operates and maintains carrier neutral data centres in the United Kingdom and the Group's principal business is the provision of reliable, resilient and responsible digital infrastructure to enable delivery of colocation services within these facilities to our customers.

Strategy

VIRTUS has a guiding vision to be a trusted global leader through being different by design. We aim to be the data centre provider that customers want to come to, a business that customers want to work with and a company that people want to work for, and seek to achieve this by delivering outstanding safety, sustainability and customer propositions every day through our expanding portfolio of data centre sites in the UK.

Business review

During 2024 UK sales have continued to grow across the core sectors of cloud services, education and enterprise, consistent with the ongoing and increasing demand in all segments of modern society for digital services and their supporting infrastructure. No new sites went live during 2024 but an additional 6.3MW at our LONDON7 site and 3.4MW at LONDON11 started billing during the year.

At the end of 2024, VIRTUS had a portfolio of 11 live sites that are 98% contracted to customers (2023: 98%), including a significant proportion occupied by major hyperscale customers. Our two development sites that are nearing completion – LONDON12 at Slough and LONDON14 at Stockley Park – add a further 43.0MW of sellable capacity, with discussions with major potential customers for those sites well advanced as at the end of the year.

In the UK, 181.8MW of the total design capacity was contracted to customers, with 179.8MW billable to customers as of the year-end (2023: 180.7MW contracted and 170.5MW billable).

Group revenue in 2024 was £486.2m (2023: £359.0m) representing an increase of 35% on 2023. This was driven primarily by growth in power revenue, up 81% to £258.5m (2023: £142.5m) due to significantly higher power prices in the first three quarters of 2024 compared to the prior year which are passed through to customers, plus higher power draw from both new and existing customer deployments. These higher input energy costs reduced subsequently from the start of Q4 2024 in line with the wider energy market and hence power input costs and billings to customers have been lower despite the actual volumes of power being drawn remaining stable. Underlying colocation revenue also grew by 9% to £209.1m (2023: £192.7m) driven by a 8.7MW increase in billable capacity across existing sites during the year, in particular at LONDON7 and LONDON11.

The business made an operating profit of £45.2m in 2024, compared to £50.8m in 2023, the decrease being due primarily to a higher goodwill impairment charge in 2024. The Group's result for the financial year was a net profit of £9.8m (2023: net loss of £2.9m).

During 2024, the Group funded its ongoing site development and operating activities through drawdowns against debt facilities and utilisation of cash flow generated from operations.

The Group made a scheduled debt repayment on its main facility of £10.0m on 31 December 2024 (2023: £7.5m), reducing the remaining facility size to £1,135.3m. Of this, £941.3m was drawn and £194.0m remained available to draw at the end of 2024, with a total of £231.1m drawn down during the year to fund ongoing site development.

The balance of cash on hand at 31 December 2024 was £35.9m (2023: £32.0m).

VIRTUS Data Centres Properties Limited

Strategic report

for the year ended 31 December 2024 (continued)

Key performance indicators (“KPIs”)

The Group measures its financial performance primarily by reference to revenue.

Revenue in 2024 was £486.2m, a 35% increase from £359.0m in 2023 reflecting the continued growth of our portfolio.

Business environment

The challenging macroeconomic environment for business in the UK eased slightly during 2024 with general inflation rates falling back towards the Bank of England's target of 2.0% and the bank base rate consequently being reduced gradually from 5.25% to 4.75% between end of 2023 and end of 2024.

Despite some increases to input prices for capex and opex within our supply chain, VIRTUS has remained largely insulated from these macroeconomic headwinds and the underlying performance of the business has remained strong, as described above. In particular, the Group is protected against volatility in interest rates by having hedges in place against a significant proportion of the debt facility.

While moves to develop data centre hubs outside of London continue to gain traction, the core of the UK market remains geographically concentrated in and around the London / M25 area, with a focus on Slough and West London where VIRTUS data centre sites are located. Demand for data centre services in the London market remained strong throughout 2024 as the digital economy in general and cloud computing provision in particular – as supported by our core hyperscale product offering - continued to grow. Developments in practical application of artificial intelligence (AI) and increase in consumer awareness of this accelerated throughout 2024 and we still expect significantly larger amounts of computing power to be required to support this, driving future capacity demand at a scale an order of magnitude greater than what has been seen over the last decade.

This large sector tailwind has, however, also led to supply chain challenges, such as increased competition- for land, power, equipment and personnel, with major new investments announced regularly to support new supply under development from both established competitors and new entrants. Despite this, VIRTUS has maintained its position as one of the largest providers of colocation and cloud infrastructure services in the UK as at the end of 2024.

Future outlook

The Group expects to continue to deliver strong revenue performance from UK sites throughout 2025 and beyond, with the LONDON12 and LONDON14 sites, which collectively provide 43.0MW of capacity, both scheduled to go live during the next 12 months.

Duty to promote the success of the Group

In carrying out the strategy of the Group, the directors have regard for their responsibilities in promotion of the success of the business for the benefit of its shareholders. The actions undertaken by the Board to meet these responsibilities are summarised below:

The likely consequences of any decisions in the long-term

The Board has set out its view of the business environment in which the Group operates, its strategy for achieving its objectives and the outlook for the business. In developing this strategy, the Board is focused on maintaining and enhancing the long-term sustainability of the business model.

The strategy reflects the need to consider the interests of the Group's staff and external stakeholders, along with the need to keep pace with market developments and technological changes, such as the development of end uses for AI, so the business is appropriately positioned to take advantage of evolving market conditions. Strategic priorities are cascaded down to both teams and individuals within the business through the process of functional and personal objective setting for performance management.

VIRTUS Data Centres Properties Limited

Strategic report

for the year ended 31 December 2024 (continued)

Duty to promote the success of the Group (continued)

The likely consequences of any decisions in the long-term (continued)

The directors consider the risks facing the business and employ an enterprise risk management matrix approach to identifying, measuring and mitigating risks that could negatively impact the business in the longer-term. Oversight of this process is provided by the Audit and Risk Management Committee ("ARMC") of the Board and a summary of how key types of risk are managed is provided in this report.

Business relationships with customers, suppliers and other stakeholders

VIRTUS's customers are key to the long-term success of the business. We seek to maintain and grow our customer base through building and preserving a reputation as a leading provider of high-quality and reliable data centre services in the UK and, looking forward, to the wider European market. Our customers are key business partners and we set out our relationship with them clearly in service-level agreements. We maintain continuous oversight of these arrangements and ensure our customers receive appropriate levels of information on how service levels are met. We are constantly assessing customer communications and proactively communicating with our customers at regular intervals.

We invest in industry-leading technology at our data centre sites as we believe it differentiates the VIRTUS service offering from that of our competitors, in terms of the quality and reliability of the service experienced by our customers. This includes features such as high connectivity and low latency that are needed to efficiently support the ultra-high-density computing requirements of many of our customers. The scale of our facilities and the technology employed allows us to offer customers premium data centre services on a highly cost-effective basis.

VIRTUS's dealings with suppliers are governed by an established procurement policy with oversight provided by our procurement steering committee. We seek to foster relationships with suppliers that are mutually beneficial over the longer-term as well as the near-term, and VIRTUS has worked with many suppliers on a recurring basis across the development of our data centre portfolio. This offers VIRTUS the potential to benefit from efficiencies arising from knowledge these suppliers have gained over time of our business and ways of working.

We also invest continuously in the training of our staff both to support their personal development and promote the quality of their interactions with customers, suppliers and colleagues. Transactional dealings with our customers and suppliers are ultimately controlled through application of our Board-approved delegation of authority matrix.

The impact of the Group's operations on the community and environment

VIRTUS is a responsible member of its industry and community and has a strong set of corporate values that are embedded across the business. This includes caring about our staff wellbeing and impact of the business on the environment, in addition to delivery of quality and value to our customers.

All of our business is certified to ISO standards on environmental management, energy management and information technology systems, amongst others, demonstrating our ongoing commitment to environmental, energy and social (data protection) performance within our sphere of influence. The core of our certifications stems from implemented, trained, regularly reviewed and fully communicated policies such as those on compliance (covering environmental, energy, quality, information security and service delivery), occupational health and safety and ethical trading.

Further information on the nature and intensity of energy consumption by the business operations of VIRTUS in accordance with Streamlined Energy and Carbon Reporting Requirements (SECR) regulations is provided in the Directors' report.

VIRTUS Data Centres Properties Limited

Strategic report

for the year ended 31 December 2024 (continued)

Duty to promote the success of the Group (continued)

The desirability of the Group maintaining a reputation for high standards of business conduct

Our desire to maintain a reputation for high standards of business conduct is embodied in our corporate values of caring about our customers and the service we provide to them, pride in the VIRTUS business and what it delivers, dedication to quality in whatever we do and reliability in doing what we say we will do. Our teams work together in a constructive and helpful way to deliver together for our customers.

It is VIRTUS policy to conduct all business in an honest and ethical manner by acting professionally, fairly and with integrity in all our business dealings and relationships. This is emphasised in our policies developed in areas such as ethical trading and financial crime, covering anti-bribery, anti-corruption and anti-tax evasion initiatives.

We also maintain an ongoing dialogue with our shareholders through formal communication of operational and financial information on a quarterly basis, as well as through numerous other interactions periodically through the year. We use these interactions to ensure that both the strategic direction of the VIRTUS business and the standards we maintain in conducting our business is aligned with the Group objectives and standards of our owners.

The need to act fairly as between members of the Group

We aim to take into account the impact on all stakeholders of decisions that are made concerning both the day-to-day operations and overall strategic direction of the business. In practice it can be difficult to ensure equal benefit to all stakeholders from individual decisions and in these cases we seek primarily to achieve fairness of outcome to members of the Group, even if the interests of certain other stakeholders may not always be fully aligned with this.

Going concern

The company meets its day to day working capital requirements from loans and borrowings (see note 18), together with operational cash flows and support from the Group's shareholders.

In 2024, the Group recorded a net profit of £9.8m (2023: loss of £2.9m) and a total comprehensive loss of £2.3m (2023: £14.7m). Despite this, the financial statements have been prepared on a going concern basis which the directors consider to be appropriate for the following reasons.

As at 31 December 2024, the Group had net liabilities of £107.6m (2023: £105.3m), net current liabilities of £421.0m (2023: £353.5m), a cash balance of £35.9m (2023: £32.0m) and committed unutilised bank facilities of £194.0m (2023: £315.1m).

The directors have prepared cash flow forecasts and performed a going concern assessment which indicates that, in both the base and reasonably possible downsides, the company will require significant additional funds. In order to meet the committed costs of developing additional data centre sites in the UK and EMEA, it is reliant on financial support from its intermediate holding companies, STT GDC Pte Ltd and MEIF 7 Tigru Bidco Limited. STT GDC Pte Ltd and MEIF 7 Tigru Bidco Limited have indicated their intention to continue to make available such funds as are needed by the Group for the period covered by the forecasts being a period of not less than 12 months from the date of approval of the financial statements.

The directors note it is the intention of both STT GDC Pte Ltd and the minority shareholders MEIF 7 Tigru Bidco Limited to support the Group's expansion strategy. The directors have further considered the financial position of STT GDC Pte Ltd and MEIF 7 Tigru Bidco Limited and consider there to be sufficient liquidity for the funding to be provided as needed. As with any company placing reliance on other group entities for financial support, the directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

Consequently, the directors are confident that the Group will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

VIRTUS Data Centres Properties Limited

Strategic report

for the year ended 31 December 2024 (continued)

Financial instruments and risks

Financial risks facing the organisation are monitored through a process of regular assessment and review by the Management Team of an Enterprise Risk Management ("ERM") framework which is then presented to the ARMC. Key financial risks and their mitigants are set out below:

- Interest rate risk is managed through hedging via interest rate swaps on our external debt. As a result of this, the Group has materially mitigated exposure to interest rate fluctuations on its long-term borrowing.
- Liquidity risk is managed through detailed cash flow management and forecasting undertaken by the directors to ensure the Group has access to adequate financial resources to meet its ongoing needs.
- Customer credit risk and recoverability of trade receivables in the current economic environment is carefully managed through daily monitoring of receipts and increased focus on credit control, with regular review by the management team. A large proportion of our customer portfolio consists of well-established global companies so it is not expected that levels of default on receivables will be significant.

Principal risks and uncertainties

Key risks faced by the Group are monitored through a process of regular assessment and review by the Group's management team, incorporated in the ERM and presented to the ARMC.

- Strategic risks are considered regularly in what is an increasingly competitive marketplace. Risk of business concentration in a small number of large customers is mitigated where possible by entering into long-term contracts with customers and negotiating pre-let agreements to underpin all or part of each business case before construction commences on a particular site.
- Operational risks to the business could come from a critical infrastructure (power or cooling) outage or security breach. Preventative measures to combat the risk of failure in this area is a primary focus for the Group – such an event would risk damage to the external credibility of the business and, depending on the severity, could threaten the performance and potentially the ongoing viability of the Group. This risk could arise from a number of factors, which are both within and outside of the business' direct control, ranging from human error to equipment failure to a deliberate act of sabotage. The Group has a robust process driven response to these risks through adherence to externally accredited operating procedures and certifications combined with rigorous application of these policies.
- The mid- to long-term outlook for the local and global economy remains uncertain despite some easing of general inflation, energy and other living costs and costs of borrowing during the past 12 months. These factors could present risks to the Group's future business performance. While customer demand might be impacted by any of these factors, this risk is mitigated by the critical nature of our services, as well as the proportion of well-established global cloud services providers in our customer portfolio.
- The Group is actively monitoring and assessing the impact arising from the recent proposed/implemented changes relating to import tariffs by the United States. The assessment is still on-going.
- Exposure to risk of increase in input power costs is managed through securing fixed-price agreements with power suppliers annually in advance. As at the end of 2024, VIRTUS has fixed all of these input costs out to the end of the 2024/25 power year in September 2025, and over 80% of these costs (as at 1st April 2025) for the power year to September 2026.

VIRTUS Data Centres Properties Limited

Strategic report

for the year ended 31 December 2024 (continued)

Principal risks and uncertainties (continued)

- Customer renewal risk – as the business and external third-party debt has grown, the risk of significant customer churn impacting the Group's banking covenant relating to interest cover grows. This risk is managed by taking a prudent approach to debt financing balanced with funding support from the Group's shareholders, and proactively managing customer relationships in the estate well in advance of any renewals.
- External and contingent liabilities of the business are managed through insurance where appropriate.

The Board continues to assess new investment opportunities and growth plans with these risks in mind.

This report was approved by the Board on 11 August 2025 and signed on its behalf.



D R L Seaton
Director

VIRTUS Data Centres Properties Limited

Directors' report

for the year ended 31 December 2024

The directors present their report together with the audited financial statements of VIRTUS Data Centres Properties Limited and its subsidiaries (the "Group") for the year ended 31 December 2024.

Directors

The directors who served during the financial year ended 31 December 2024 and up to the date of signing the financial statements, unless otherwise indicated, are given below:

Daryl Robert Leslie Seaton
Neil David Cresswell (resigned on 30 April 2025)
Jonathan Allen King (resigned on 30 April 2025)
Bruno Lopez (resigned on 30 April 2025)
Nelson Lim Yueh Hua (resigned on 30 April 2025)
Chong Gay Ee (appointed on 1 May 2025)
James Nicholas Dutson (appointed on 1 May 2025)

Principal activities

The nature of the Group's operations and its principal activities are set out in the Strategic report.

Proposed dividend

No dividend was paid or declared during the year (2023: £nil).

Political and charitable contributions

The Group made no political donations or incurred no political expenditures, in accordance with the Companies Act 2006 during the financial year (2023: £nil). There are no disclosable charitable donations during the year (2023: £nil).

Statement of Directors' responsibilities in respect of the Strategic report, the Directors' report and the financial statements

The directors are responsible for preparing the Strategic Report, the Directors' Report and the Group and parent Company financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare Group and parent Company financial statements for each financial year. Under that law they have elected to prepare the Group financial statements in accordance with UK-adopted international accounting standards and applicable law and have elected to prepare the parent Company financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Group and parent Company and of the Group's and parent Company's profit or loss for that period. In preparing each of the Group and parent Company financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable, relevant, and reliable and, in respect of the parent Company financial statements only, prudent;
- for the Group financial statements, state whether they have been prepared in accordance with UK-adopted international accounting standards;
- for the parent Company financial statements, state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Group and parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and

VIRTUS Data Centres Properties Limited

Directors' report

for the year ended 31 December 2024 (continued)

Statement of Directors' responsibilities in respect of the Strategic report, the Directors' report and the financial statements (continued)

- use the going concern basis of accounting unless they either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the parent Company's transactions and disclose with reasonable accuracy at any time the financial position of the parent Company and enable them to ensure that its financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.

Environmental reporting

Streamlined Energy & Carbon Reporting (SECR)

The directors present their report on greenhouse gas (GHG) emissions and energy usage by VIRTUS operations in the UK during the financial period ended 31 December 2024, including total gross emissions (tCO₂e) and intensity of usage metrics.

The framework of SECR reporting aims to simplify reporting on GHG emissions and deliver improved and more consistent disclosure of energy usage and carbon emission data to promote:

- Reduction of costs through action on energy efficiency, delivery of affordable energy and support to the shift to a low carbon economy;
- Greater awareness of energy efficiency and improved transparency for investors; and
- Provision of better quality information to the market.

The content of this report is complemented by VIRTUS's ISO credentials, namely ISO 14001:2015 (environmental management systems) and ISO 50001:2018 (energy management systems), as certified by a UKAS-accredited certification body. These demonstrate that VIRTUS is committed to protecting the environment and to minimising our impacts wherever possible through continuous improvement in our business processes. The Group has developed policies that define metrics for measuring the environmental impact (including emissions) of the business, establish monitoring and reporting mechanisms around them and set reduction/performance targets against them. We continuously assess our performance against the best available technologies and techniques, legal and statutory requirements and stakeholder expectations, resulting in a certified management system that is well-placed to govern the way we operate now and in the future.

VIRTUS is subjected to annual external audits against the full requirements of the standards including policies, processes, monitoring/measuring methodologies and reporting of energy consumption and the facilities, equipment and personnel that significantly affect energy consumption. The registered entity that is certified to these ISO standards is VIRTUS Holdco Limited, meaning that all registered entities below this in the Group are in scope and have their activities, processes and performances audited. The Group companies that are included in the reporting below are those that have an operational capacity, i.e. those providing data centre services to customers, and our Head Office.

VIRTUS is also subject to an annual verification audit under the United Kingdom Emissions Trading Scheme (UK ETS) that covers all the sites that hold a Greenhouse Gas Permit. This serves to verify the reporting data and methodology and to provide a verification report that is required in order to report against the permit and to enable surrender of annual UK ETS allowances.

The Group complies with climate change agreements (CCAs) entered into with the UK Environment Agency to reduce our energy usage and carbon dioxide emissions. VIRTUS utilises third-party specialists to administer, monitor and report against the CCA agreement requirements.

VIRTUS Data Centres Properties Limited

Directors' report

for the year ended 31 December 2024 (continued)

Environmental reporting (continued)

Streamlined Energy & Carbon Reporting (SECR) (continued)

VIRTUS is dedicated to achieving net zero emissions by the year 2030 for all our reportable activities, in direct support of the UK Government's 'Path to Net Zero by 2050' and climate change commitments.

For the year ended 31 December 2024, the quantity of total emissions by the Group was 18,066.5 tonnes of carbon dioxide equivalent (CO₂e). We have used the GHG Protocol Corporate Accounting and Reporting standard (revised edition) and emission factors from the UK government's GHG Conversion Factors for Group Reporting to calculate the below disclosures. The standard requires a statement of relevant intensity ratios, which are an expression of the quantity of emissions in relation to a quantifiable factor of the business activity.

GHG emissions data for year ended 31 December 2024 (figures in tonnes of CO₂e)

	2024	2023
Mandatory reporting		
Scope 1 - consumption of gas oil/natural gas and HVAC emissions	1,488.9	1,073.5
Scope 2 - consumption of electricity by site processes/systems	-	-
	<u>1,488.9</u>	<u>1,073.5</u>
Optional reporting		
Scope 3 - consumption of electricity in transmission/ distribution; and business travel	16,577.6	13,374.9
	<u>16,577.6</u>	<u>13,374.9</u>
Total emissions for year	<u><u>18,066.5</u></u>	<u><u>14,448.4</u></u>

Energy consumption by site processes and systems used to calculate emissions in 2024 was 233,133 MWh (2023: 207,939 MWh). Through our commitment to secure and procure 100% renewable, non-combusted energy for our data centres, VIRTUS has achieved 100% withdrawal of our Scope 2 emissions (barring transmission and distribution losses) related to service provision to our customers and 99% removal of our total GHG emissions inventory. Scope 2 emissions are therefore reported as nil.

Intensity ratios (tonnes of CO₂e per unit)

	2024	2023
Ratio of carbon emissions to average installed kW of IT load (tonnes CO ₂ e / kW)	0.10	0.10
Ratio of carbon emissions to average billed kW of IT load (tonnes CO ₂ e / kW)	0.10	0.09

VIRTUS will continue to assess its sustainability and usage metrics in order to set annual goals that promote continued reduction in GHG emissions. We understand that 100% sustainability cannot in practice be attained, however VIRTUS is committed to closing the gap as much as is practicably possible.

VIRTUS Data Centres Properties Limited

Directors' report

for the year ended 31 December 2024 (continued)

Carbon Usage Effectiveness (kg of CO₂e per kWh)

VIRTUS seeks to constantly improve the carbon usage effectiveness (CUE) of its activities at all data centre sites. CUE is a metric for measuring the quantity of carbon dioxide gas that a data centre emits. The output is measured in kilograms of carbon dioxide per kilowatt-hour. The perfect CUE score is 0.0, meaning that no carbon dioxide emissions are associated with the data center's operations. In 2024, the CUE for the Group was 0.0016 (2023: 0.0014). This is close to a perfect score, which is driven by our commitment to secure and procure 100% renewable, non-combusted energy.

Directors' indemnity

The directors are indemnified under the Company's Articles of Association and the directors benefit from a directors' and officers' insurance policy which covers liabilities incurred by the director in the lawful execution and discharge of their duties.

Disclosure of information to auditor

The directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Group's auditor is unaware; and each director has taken all the steps that they ought to have taken as a director to make themselves aware of any relevant audit information and to establish that the Group's auditor is aware of that information.

Matters covered in the Strategic report

The Group has chosen, in accordance with the Companies Act 2006, section 414C(11) to set out in the Group's Strategic report information required by Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008, Sch. 7 to be contained in the Directors' report. It has done so in respect of future outlook, going concern, principal risk and uncertainties, Business relationships with customers, suppliers and other stakeholders, financial instruments and risks.

Events after the reporting period

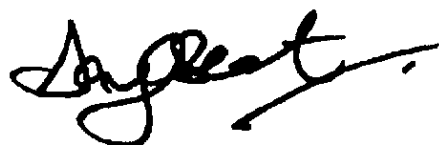
Details of the Company's significant events after the reporting period are set out in note 26.

Auditor

The auditors, KPMG LLP, will be proposed for reappointment in accordance with section 485 (2) of the Companies Act 2006.

Approval

This Directors' report was approved by order of the Board on 11 August 2025.



D R L Seaton
Director

VIRTUS Data Centres Properties Limited

Independent auditor's report to the members of VIRTUS Data Centres Properties Limited

Opinion

We have audited the financial statements of VIRTUS Data Centres Properties Limited ("the Company") for the year ended 31 December 2024 which comprise the Consolidated statement of comprehensive income, Consolidated statement of financial position, Consolidated statement of changes in equity, Consolidated statement of cash flows, Company statement of comprehensive income, Company statement of financial position, and Company statement of changes in equity and related notes, including the accounting policies in note 2.

In our opinion:

- the financial statements give a true and fair view of the state of the Group's and of the parent Company's affairs as at 31 December 2024 and of the Group's and of the parent Company's loss for the year then ended;
- the Group financial statements have been properly prepared in accordance with UK-adopted international accounting standards;
- the parent Company financial statements have been properly prepared in accordance with UK accounting standards, including FRS 101 *Reduced Disclosure Framework*; and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Group in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Group or the Company or to cease their operations, and as they have concluded that the Group and the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over their ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Group's business model and analysed how those risks might affect the Group and Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate; and
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Group or the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Group or the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors and inspection of policy documentation as to the Group's high-level policies and procedures to prevent and detect fraud, and the Group's channel for "whistleblowing", as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board, and Audit Risk Management Committee minutes.

VIRTUS Data Centres Properties Limited

Independent auditor's report to the members of VIRTUS Data Centres Properties Limited (continued)

- Considering remuneration incentive schemes and performance targets for management, directors and sales staff.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards we perform procedures to address the risk of management override of controls, in particular the risk that Group management may be in a position to make inappropriate accounting entries and the risk of bias in accounting estimates such measurement of the Group's obligations in relation to long-term employee benefits. On this audit we do not believe there is a fraud risk related to revenue recognition because as the vast majority of revenue is recognised in a straight line over-time and is non-complex in nature with limited opportunity for manipulation.

We did not identify any additional fraud risks.

We performed procedures including:

- Identifying journal entries and other adjustments to test at the Group level based on risk criteria and comparing the identified entries to supporting documentation. These included those posted to unusual accounts.
- Evaluated the business purpose of significant unusual transactions.
- Assessing whether the judgements made in making accounting estimates are indicative of a potential bias.

Identifying and responding to risks of material misstatement related to compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, through discussion with the directors and others in management (as required by auditing standards), and from inspection of the Group's regulatory and legal correspondence and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Group is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation, and taxation legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Group is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: health and safety, data protection laws, anti-bribery, employment law, Environmental Protection Legislation, Consumer Rights, Contract Legislation, regulatory capital and liquidity, and certain aspects of company legislation recognising the nature of the Group's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

VIRTUS Data Centres Properties Limited

Independent auditor's report to the members of VIRTUS Data Centres Properties Limited (continued)

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006, we are required to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 15, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Group and parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Group or the parent Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

VIRTUS Data Centres Properties Limited

Independent auditor's report to the members of VIRTUS Data Centres Properties Limited (continued)

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

W. Smith

**William Smith (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor**

Chartered Accountants

New Kings Court,
Tollgate,
Chandler's Ford,
Eastleigh,
SO53 3LG

11 August 2025

VIRTUS Data Centres Properties Limited

Consolidated statement of comprehensive income for the year ended 31 December 2024

	Notes	2024 £'000	2023 £'000
Revenue	6	486,246	358,995
Facilities expenses		(280,618)	(180,479)
Employee benefit expense	8	(34,728)	(39,052)
Depreciation of property, plant and equipment	11	(71,507)	(64,340)
Depreciation of right-of-use assets	12	(11,445)	(9,984)
Amortisation of intangible assets	13	(35)	(285)
Impairment of goodwill	13	(14,957)	(4,272)
Allowance for impairment of receivables	5	(968)	(2,167)
Other operating expenses	7	(26,799)	(7,665)
Operating profit		45,189	50,751
Finance income	9	26,690	23,076
Finance expense	9	(58,082)	(83,520)
Finance costs – net		(31,392)	(60,444)
Profit/ (loss) before tax		13,797	(9,693)
Taxation	10	(4,020)	6,829
Profit/ (loss) for the year		9,777	(2,864)
Other comprehensive income			
Items that are or may be reclassified to profit or loss in subsequent years:			
Effective portion of changes in fair value of cash flow hedges	14	8,433	5,331
Net change in fair value of cash flow hedges reclassified to profit or loss	21	(24,515)	(21,166)
Deferred tax effect relating to the components of OCI	21	4,020	3,959
Other comprehensive loss for the year		(12,062)	(11,876)
Total comprehensive loss for the year, net of tax		(2,285)	(14,740)
Total comprehensive loss attributable to:			
Equity holders of the parent		(2,285)	(14,740)

All amounts relate to continuing operations.

The notes on pages 22 to 73 form an integral part of these financial statements.

VIRTUS Data Centres Properties Limited

Registered number: 09840065

Consolidated statement of financial position

as at 31 December 2024

	Note	2024 £'000	2023 £'000
Assets			
Non-current assets			
Property, plant and equipment	11	1,272,008	1,098,614
Right-of-use assets	12	264,338	211,724
Intangible assets and goodwill	13	9,996	24,988
Trade and other receivables	16	37,619	28,626
Derivative financial instruments	14	7,268	4,374
		<u>1,591,229</u>	<u>1,368,326</u>
Current assets			
Trade and other receivables	16	142,802	195,141
Cash and cash equivalents	15	35,863	32,038
Derivative financial instruments	14	8,953	23,032
		<u>187,618</u>	<u>250,211</u>
Total assets		<u><u>1,778,847</u></u>	<u><u>1,618,537</u></u>
Liabilities			
Non-current liabilities			
Loans and borrowings	18	932,509	833,676
Lease liabilities	22	283,850	227,880
Trade and other payables	17	32,292	31,699
Provisions	19	29,208	26,895
		<u>1,277,859</u>	<u>1,120,150</u>
Current liabilities			
Loans and borrowings	18	16,279	17,873
Lease liabilities	22	10,391	8,811
Trade and other payables	17	101,630	137,699
Amount due to related parties	25	476,704	436,522
Provisions	19	3,612	2,825
		<u>608,616</u>	<u>603,730</u>
Total liabilities		<u><u>1,886,475</u></u>	<u><u>1,723,880</u></u>
Net liabilities		<u><u>(107,628)</u></u>	<u><u>(105,343)</u></u>

VIRTUS Data Centres Properties Limited

Registered number: 09840065

Consolidated statement of financial position

as at 31 December 2024 (continued)

	Note	2024 £'000	2023 £'000
Equity			
Share capital	20	-	-
Cash flow hedge reserves	21	4,519	16,581
Retained earnings		(112,147)	(121,924)
Total equity		<u>(107,628)</u>	<u>(105,343)</u>

The financial statements on pages 16 to 73 were approved and authorised for issue by the Board on 11 August 2025 and were signed on its behalf by:



D R L Seaton
Director

The notes on pages 22 to 73 form an integral part of these financial statements.

VIRTUS Data Centres Properties Limited

Consolidated statement of changes in equity for the year ended 31 December 2024

	Share capital £'000	Cash flow hedge reserves £'000	Retained earnings £'000	Attributable to parent equity holders £'000	Total equity £'000
At 1 January 2023	-	28,457	(119,060)	(90,603)	(90,603)
Loss for the year	-	-	(2,864)	(2,864)	(2,864)
Other comprehensive loss	-	(11,876)	-	(11,876)	(11,876)
Total	-	(11,876)	(2,864)	(14,740)	(14,740)
At 31 December 2023	-	16,581	(121,924)	(105,343)	(105,343)
At 1 January 2024	-	16,581	(121,924)	(105,343)	(105,343)
Profit for the year	-	-	9,777	9,777	9,777
Other comprehensive loss	-	(12,062)	-	(12,062)	(12,062)
Total	-	(12,062)	9,777	(2,285)	(2,285)
At 31 December 2024	-	4,519	(112,147)	(107,628)	(107,628)

The notes on pages 22 to 73 form an integral part of these financial statements.

VIRTUS Data Centres Properties Limited

Consolidated statement of cash flows

for the year ended 31 December 2024 (continued)

	Note	2024 £'000	2023 £'000
Cash flows from operating activities			
Profit/(loss) before tax		13,797	(9,693)
Adjustments for:			
Depreciation of property, plant and equipment	11	71,507	64,340
Depreciation of right-of-use assets	12	11,445	9,984
Amortisation of intangible assets	13	35	285
Impairment of goodwill	13	14,957	4,272
Allowance for expected credit losses		968	2,167
Finance income	9	(26,690)	(23,076)
Finance expense	9	58,082	83,520
Impairment of property, plant and equipment	11	817	-
Movement in provision for compensation	19	-	(537)
Changes in:			
Decrease/(increase) in trade and other receivables	16	43,931	(135,109)
(Decrease)/increase in trade and other payables	17	2,741	56,010
Decrease in contract costs	16	920	471
Net cash generated from operating activities		192,510	52,625
Investing activities			
Purchase of property, plant and equipment		(227,103)	(118,731)
Purchase of new derivatives	14	(3,601)	-
Net cash used in investing activities		(230,704)	(118,731)
Financing activities			
Interest paid on bank borrowings	18	(71,023)	(52,546)
Interest received on derivatives		20,109	23,677
Proceeds from settlement of derivatives	14	3,601	-
Proceeds from bank borrowings	18	231,100	166,000
Repayment of bank borrowings	18	(120,000)	(27,500)
Payment of transaction costs related to loans and borrowings	18	(300)	(8,485)
Payment of lease liability	22	(21,468)	(20,145)
Net cash flows generated in financing activities		42,019	81,001

VIRTUS Data Centres Properties Limited

Consolidated statement of cash flows

for the year ended 31 December 2024 (continued)

	Note	2024 £'000	2023 £'000
Net increase in cash and cash equivalents		3,825	14,895
Cash and cash equivalents at the start of the year		32,038	17,143
Cash and cash equivalents at the end of the year	15	35,863	32,038

The notes on pages 22 to 73 form an integral part of these financial statements.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024

1 Company background

VIRTUS Data Centres Properties Limited (the "Company") is a private company limited by shares incorporated, domiciled and registered in England and Wales. The registered number is 09840065 and the registered office is 4th Floor, 20 Balderton Street, London, W1K 6TL.

VIRTUS designs, builds, operates and maintains carrier neutral data centres in the United Kingdom and the Group's principal business is the provision of reliable, resilient and responsible digital infrastructure to enable delivery of colocation services within these facilities to our customers.

2 Accounting policies

2.1 Basis of preparation

The consolidated financial statements relate to VIRTUS Data Centres Properties Limited (the "Company") and its subsidiaries (together referred to as the "Group"). The parent company financial statements present information about the Company as a separate entity and not about its group.

The Group financial statements have been prepared and approved by the directors in accordance with UK-adopted international accounting standards ("UK-adopted IFRS") and applicable law. The Company has elected to prepare its parent company financial statements in accordance with FRS 101; these are presented on pages 74 to 92.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in the Group's financial statements.

2.2 Functional and presentation currency

The consolidated financial statements are presented in Pounds Sterling, which is also the Group's functional currency.

Amounts are rounded to the nearest thousand, unless otherwise stated.

2.3 Basis of measurement

The consolidated financial statements have been prepared on a historical cost basis, except for certain financial assets and financial liabilities (including derivative) which are stated at fair value.

2.4 Use of judgements and estimates

The preparation of financial statements in compliance with UK-adopted IFRS requires the use of certain critical accounting estimates. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis and are consistent with the Group's risk management. Revisions to estimates are recognised prospectively.

It also requires Group's management to exercise judgment in applying the Group's accounting policies. The areas where significant judgments and estimates with a significant risk of material adjustment in the next year have been made in preparing the financial statements and their effect are disclosed in note 4.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.5 Change in accounting policy

New and amended standards and interpretations

The Group applied the following standards and amendments for the first time, effective for annual periods starting on or after 1 January 2024. The Group has not early adopted any other standard, interpretation, or amendment that has been issued but is not yet effective. The amendment mentioned did not have any material impact on the amounts recognised in prior periods and is not expected to significantly affect the current or future periods.

- Amendments to IAS 1 Presentation of Financial Statements – Classification of Liabilities as Current or Non-current, effective 1 January 2024.
- Amendments to IFRS 16: Lease Liability in a Sale and Leaseback.
- Supplier Finance Arrangements - Amendments to IAS 7 and IFRS 7.

2.6 Going concern

The financial statements have been prepared on a going concern basis which the directors consider to be appropriate for the following reasons.

In 2024, the Group recorded a net profit of £9.8m (2023: loss of £2.9m) and a total comprehensive loss of £2.3m (2023: £14.7m). Despite this, the financial statements have been prepared on a going concern basis which the directors consider to be appropriate for the following reasons.

As at 31 December 2024, the Group had net liabilities of £107.6m (2023: £105.3m), net current liabilities of £421.0m (2023: £353.5m), a cash balance of £35.9m (2023: £32.0m) and committed unutilised bank facilities of £194.0m (2023: £315.1m).

However, in order to meet the committed costs of developing additional data centre sites in the UK and EMEA, it is reliant on financial support from its intermediate holding companies, STT GDC Pte Ltd and MEIF 7 Tigru Bidco Limited. STT GDC Pte Ltd and MEIF 7 Tigru Bidco Limited have indicated their intention to continue to make available such funds as are needed by the Group for the period covered by the forecasts being a period of not less than 12 months from the date of approval of the financial statements.

The directors note it is the intention of both STT GDC Pte Ltd and the minority shareholders MEIF 7 Tigru Bidco Limited to support the Group's expansion strategy. The directors have further considered the financial position of STT GDC Pte Ltd and MEIF 7 Tigru Bidco Limited and consider there to be sufficient liquidity for the funding to be provided as needed. As with any company placing reliance on other group entities for financial support, the directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

Consequently, the directors are confident that the Group will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

2.7 Basis of consolidation

The Group financial statements consolidate the financial statements of VIRTUS Data Centres Properties Limited and all of its subsidiary undertakings ('subsidiaries') drawn up to 31 December 2024 using the acquisition method of accounting. The results of subsidiary undertakings are included from the date of acquisition.

Where the Company has control over an investee, it is classified as a subsidiary. The Company controls an investee if all three of the following elements are present: power over the investee, exposure to variable returns from the

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.7 Basis of consolidation (continued)

investee, and the ability of the investor to use its power to affect those variable returns. Control is reassessed whenever facts and circumstances indicate that there may be a change in any of the elements of control.

The consolidated financial statements present the results of the Company and its subsidiaries ("the Group") as if they formed a single entity. Intercompany transactions and balances between Group companies are therefore eliminated in full. The accounting policies of the subsidiaries are consistent with those adopted by the Group.

2.8 Business combinations

The Group accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs.

The consolidated financial statements incorporate the results of business combinations using the acquisition method. In the statement of financial position, the acquiree's identifiable assets, liabilities and contingent liabilities are initially recognised at their fair values at the acquisition date. The results acquired are included in the Consolidated statement of comprehensive income from the date on which control is obtained. They are deconsolidated from the date on which control ceases.

The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment (see note 13). Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs related to the acquisition, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred. The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Any contingent consideration payable is recognised at fair value at the date of acquisition and included in the consideration transferred. If the contingent consideration that meets the definition of a financial instrument is classified as equity, it is not remeasured, and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes to the fair value of the contingent consideration are recognised in profit or loss.

Where acquisitions are not judged to be the acquisition of a business, they are not treated as business combinations. In such instances, the consideration is allocated between the identifiable assets and liabilities assumed based upon their relative fair values at the acquisition date. Accordingly, no goodwill arises.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as transactions with owners in their capacity as owners and therefore no adjustments are made to goodwill and no gain or loss is recognised in the profit or loss.

Non-controlling interests ("NCI") are measured initially at their proportionate share of the acquiree's identifiable net assets at the date of acquisition. Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.9 Property, plant, and equipment

Property, plant and equipment is initially recognised at cost. As well as the purchase price, cost includes directly attributable costs, capitalised borrowing costs, and the estimated present value of any future unavoidable costs of dismantling and removing items. Any corresponding liability is recognised within provisions.

Any gain or loss on disposal of an item of property, plant and equipment is recognised in the Consolidated statement of comprehensive income.

Subsequent expenditure is capitalised only if it is probable that the future economic benefits, in excess of the originally assessed standard of performance of the existing asset, associated with the expenditure will flow to the Group. All other subsequent expenditure is recognised as an expense in the year in which it is incurred.

Depreciation on assets under construction does not commence until they are complete and available for use. No depreciation is provided on freehold land.

Depreciation is calculated using the straight-line method to allocate their cost over their estimated useful lives or, in the case of leasehold building and improvements, the shorter of estimated useful life and remaining lease term as follows:

• Freehold Building	60 years
• Freehold Improvements	20 years
• Leasehold Land & Building	Shorter of remaining lease term or 60 years
• Leasehold Improvements	Shorter of remaining lease term or 20 years
• Data Centre Equipment	5 - 20 years
• Network Equipment	15 years
• Computers & Telecommunication Equipment	2 years
• Office Equipment, Furniture & Fittings	3 years

Depreciation methods, useful lives and residual values are reviewed, and adjusted as appropriate, at each reporting date.

2.10 Goodwill

Recognition and initial measurement

The Group measures goodwill at the date of acquisition as:

- the fair value of the consideration transferred; plus
- the recognised amount of any NCI in the acquiree; plus
- if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree, over the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed.

Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses. Any goodwill that arises is tested annually for impairment.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.11 Intangible assets

Intangible assets include customer contracts and relationships and rights to data centre sites that have been acquired by the Group. Intangible assets have finite useful lives are measured at cost less accumulated amortisation and accumulated impairment losses.

The estimated useful lives of intangible assets for current and comparative periods are as follows:

- | | |
|---------------------------------------|----------|
| • Customer contracts and relationship | 9 years |
| • Acquired rights | 60 years |

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

Amortisation of intangible assets with finite useful lives is calculated using the straight-line method to allocate their cost over their estimated useful lives.

2.12 Financial instruments

Financial assets

Recognition and initial measurement

Trade receivables are initially recognised when they are originated. All other financial assets are initially recognised when the Group becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at fair value through profit and loss (FVTPL), transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

Classification and subsequent measurement

On initial recognition, a financial asset is classified as measured at: amortised cost; fair value through other comprehensive income (FVOCI) – debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

Financial assets at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.12 Financial instruments (continued)

Financial assets at FVTPL

All financial assets not classified as measured at amortised cost or FVOCI are measured at FVTPL. This includes some derivative financial assets, limited to interest rate caps and interest rate floors. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits. Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose only of the cash flow statement.

Business model assessment

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model and how those risks are managed;
- how managers of the business are compensated; and
- the frequency, volume and timing of sales of financial assets in prior period, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets.

Financial assets that are held-for-trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Assessment of whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable rate features;
- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features)

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.12 Financial instruments (continued)

Subsequent measurement of gains and losses

Financial assets at FVTPL

These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.

Financial assets at amortised cost

These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

Debt investments at FVOCI

These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in other comprehensive income ("OCI"). On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.

Equity investments at FVOCI

These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Interest rate benchmark reform

When the basis for determining the contractual cash flows of a financial asset or financial liability measured at amortised cost changed as a result of interest benchmark reform, the Group updated the effective interest rate of the financial asset or financial liability to reflect the change that is required by the reform. A change in the basis for determining the contractual cash flows is required by interest rate benchmark reform if the following conditions are met:

- The change is necessary as a direct consequence of the reform; and
- The new basis for determining the contractual cash flows is economically equivalent to the previous basis – i.e., the basis immediately before the change.

When the changes were made to a financial asset or a financial liability in addition to changes to the basis for determining the contractual cash flows required by interest rate benchmark reform, the Group first updated the effective interest rate of the financial asset or financial liability to reflect the change that is required by interest rate benchmark reform. After that, the Group applied the policies on accounting for modifications to the additional changes.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.12 Financial instruments (continued)

Financial liabilities and equity

Financial instruments issued by the Group are treated as equity only to the extent that they meet the following two conditions:

- they include no contractual obligations upon the Group to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the Group; and
- where the instrument will or may be settled in the Group's own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the Group's own equity instruments or is a derivative that will be settled by the Group's exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability. Where the instrument so classified takes the legal form of the Group's own shares, the amounts presented in these financial statements for called up share capital and share premium account exclude amounts in relation to those shares.

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative, or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

Derivative financial instruments and hedging

i. Derivative financial instruments

Derivative financial instruments are recognised at fair value. The gain or loss on remeasurement to fair value is recognised immediately in profit or loss. However, where derivatives qualify for hedge accounting, recognition of any resultant gain or loss depends on the nature of the item being hedged (see below).

The Group designates certain derivatives as hedging instruments to hedge the variability in cash flows associated with highly probable forecast transactions arising from changes in interest rates.

At inception of designated hedging relationships, the Group documents the risk management objective and strategy for undertaking the hedge. The Group also documents the economic relationship between the hedged item and the hedging instrument, including whether the changes in cash flows of the hedged item and hedging instrument are expected to offset each other.

ii. Cash flow hedges

Where a derivative financial instrument is designated as a hedge of the variability in cash flows of a recognised asset or liability, or a highly probable forecast transaction, the effective part of any gain or loss on the derivative financial instrument is recognised directly in the hedging reserve (OCI). Any ineffective portion of the hedge is recognised immediately in the income statement.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.12 Financial instruments (continued)

Derivative financial instruments and hedging (continued)

ii. Cash flow hedges (continued)

When the forecast transaction subsequently results in the recognition of a non-financial item (including a non-financial item that becomes a firm commitment for which fair value hedge accounting is applied – see below), the associated cumulative gain or loss is removed from the hedging reserve and is included in the initial carrying amount of the non-financial asset or liability.

For all other hedged forecast transactions, the associated cumulative gain or loss is reclassified to the income statement in the same period or periods during which the hedged expected future cash flows affects profit or loss.

When the hedging instrument is sold, expires, is terminated or exercised, or the entity revokes designation of the hedge relationship, but the hedged forecast transaction is still expected to occur, the cumulative gain or loss at that point remains in equity and is recognised in accordance with the above policy when the transaction occurs. If the hedged transaction is no longer expected to take place, the cumulative unrealised gain or loss recognised in equity is recognised in the income statement immediately.

Impairment

The Group recognises loss allowances for expected credit losses (ECLs) on financial assets measured at amortised cost and contract assets.

Loss allowances of the Group are measured on either of the following bases:

- 12-month ECLs: these are ECLs that result from default events that are possible within the 12 months after the reporting date (or for a shorter period if the expected life of the instrument is less than 12 months); or
- Lifetime ECLs: these are ECLs that result from all possible default events over the expected life of a financial instrument or contract asset.

The maximum period considered when estimating ECLs is the maximum contractual period over which the Company is exposed to credit risk.

Simplified approach

The Group applies the simplified approach to provide for ECLs for trade receivables and contract assets.

The simplified approach requires the loss allowance to be measured at an amount equal to lifetime ECLs.

General approach

The Group applies the general approach to provide for ECLs on all other financial instruments. Under the general approach, the loss allowance is measured at an amount equal to 12-month ECLs at initial recognition.

At each reporting date, the Group assesses whether the credit risk of a financial instrument has increased significantly since initial recognition. When credit risk has increased significantly since initial recognition, loss allowance is measured at an amount equal to lifetime ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and includes forward-looking information.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.12 Financial instruments (continued)

Impairment (continued)

General approach (continued)

If credit risk has not increased significantly since initial recognition or if the credit quality of the financial instruments improves such that there is no longer a significant increase in credit risk since initial recognition, loss allowance is measured at an amount equal to 12-month ECLs.

The Group considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- the financial asset is more than 360 days past due
- the Group considers a contract asset to be in default when the customer is unlikely to pay its contractual obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held).

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive). ECLs are discounted at the effective interest rate of the financial asset.

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost are credit impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the debtor;
- a breach of contract such as a default or being more than 360 days past due;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is probable that the debtor will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

- Loss allowances for financial assets measured at amortised cost and contract assets are deducted from the gross carrying amount of the assets.

Write-offs

The gross carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Group determines that the debtor does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to write off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with Group's procedures for recovery of amounts due.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.12 Financial instruments (continued)

Impairment (continued)

Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

Financial liabilities

Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense is recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

The Group classifies its financial liabilities into one category based on the purpose for which the liability was acquired.

Financial liabilities at amortised cost

Financial liabilities at amortised cost include the following items:

- Bank borrowings are initially recognised at fair value net of any transaction costs directly attributable to the issue of the instrument. Such interest-bearing liabilities are subsequently measured at amortised cost using the effective interest rate method, which ensures that any interest expense over the period to repayment is at a constant rate on the balance of the liability carried in the statement of financial position. Interest expense in this context includes initial transaction costs and premium payable on redemption, as well as any interest or coupon payable while the liability is outstanding.
- Trade payables and other short-term monetary liabilities, which are initially recognised at fair value and are subsequently carried at amortised cost using the effective interest method.
- Lease liabilities relating to leasehold land and buildings where the Group is a lessee. Accounting for lease liabilities is detailed in the accounting policy on leases.

Derecognition

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Group also derecognises a financial liability when its terms are modified, and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of a financial liability the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred, or liabilities assumed) is recognised in the Consolidated statement of comprehensive income.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.12 Financial instruments (continued)

Financial liabilities (continued)

Modification

When the contractual cash flows of a financial liability are renegotiated or otherwise modified and the renegotiation or modification does not result in the derecognition of that financial asset, the gross carrying amount of the financial liability is recalculated and a modification gain or loss is recognised in profit or loss. For floating rate financial liabilities, the gross carrying amount is recalculated as the present value of the renegotiated or modified contractual cash flows that are discounted at the financial liability's revised effective interest rate. Any costs or fees incurred are expensed on modification of the financial liability.

Offsetting financial instruments

Financial assets and liabilities are offset, and the net amount reported in the statement of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

Impairment of non-financial assets (excluding deferred tax assets)

Impairment tests on goodwill and other intangible assets with indefinite useful economic lives are undertaken annually. Other non-financial assets are subject to impairment tests whenever events or changes in circumstances indicate that their carrying amount may not be recoverable.

Where the carrying value of an asset exceeds its recoverable amount, (i.e. the higher of value in use and fair value less costs to sell), the asset is written down accordingly. Value in use is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Impairment charges are included in the Consolidated statement of comprehensive income, except to the extent they reverse gains previously recognised in other comprehensive income. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. However, an impairment loss in respect of goodwill is not reversed.

Share capital

Financial instruments issued by the Company are classified as equity only to the extent that they do not meet the definition of a financial liability or financial asset. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

Ordinary shares are classified as equity instruments.

2.13 Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in IFRS 16.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.13 Leases (continued)

Group as lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for leases of property the Group has elected not to separate non-lease components and accounts for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. The Group uses its incremental borrowing rate as the discount rate.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date; and
- amounts expected to be payable under a residual value guarantee.

Subsequent to initial recognition, the lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including office equipment. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

Group as a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract across each individual lease component identified. When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.13 Leases (continued)

Group as a lessor (continued)

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

The Group recognises lease payments received under operating leases as income on a straight-line basis over the lease term as part of 'lease revenue'.

Lease incentives awarded to customers are recognised as an integral part of the total lease revenue, over the term of the lease. Lease incentives primarily include up-front cash payments or rent-free periods.

2.14 Revenue from contracts with customers

Performance obligations and revenue recognition policies

Revenue from data centre co-location services is recognised when the Group satisfies a performance obligation ("PO") by transferring control of a promised good or service to the customer. The amount of revenue recognised is the amount of the transaction price allocated to the satisfied PO.

The transaction price is allocated to each PO in the contract on the basis of the relative standalone selling prices of the promised goods or services, including any POs that are identified to be lease components. The calculation of standalone selling price for lease components is based on the rental cost per unit area of the property that VIRTUS incurs, establishing an estimated fair value of the price per square metre of data centre space at the location in question, then adding a mark-up of 10% to give an estimated standalone selling price per square metre. The transaction price also includes contractually agreed periodic fixed or indexed linked price adjustments in contracts with customers which are accounted for by allocating to the transaction price.

The individual standalone selling price of a good or service that has not previously been sold on a stand-alone basis is determined based on the residual portion of the transaction price after allocating the transaction price to goods and/or services with observable stand-alone selling prices. A discount or variable consideration is allocated to one or more, but not all, of the performance obligations if it relates specifically to those performance obligations.

Transaction price is the amount of consideration in the contract to which the Group expects to be entitled in exchange for transferring the promised goods or services. The transaction price may be fixed or variable and is adjusted for time value of money if the contract includes a significant financing component. Consideration payable to a customer is deducted from the transaction price if the Group does not receive a separate identifiable benefit from the customer. When consideration is variable, the estimated amount is included in the transaction price to the extent that it is highly probable that a significant reversal of the cumulative revenue will not occur when the uncertainty associated with the variable consideration is resolved.

Revenue may be recognised at a point in time or over time following the pattern of satisfaction of the PO. If a PO is satisfied over time, revenue is recognised on a straight-line basis over the term of the contract.

The directors are of the opinion that the Group is engaged in a single business segment, being data centre ownership and operation in the UK only.

Co-location revenue

Revenue is recognised on a straight-line basis over the period of the contract – i.e. over time. Invoices are issued according to contractual terms and are usually payable within 30 days

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.14 Revenue from contracts with customers (continued)

Co-location revenue (continued)

The period of the contract is the non-cancellable period together with any further term for which the customer has the option to continue the contract where, at inception, the directors are reasonably certain that customer will exercise that option.

Ancillary services income

This comprises fees from customers typically relating to ad-hoc customer works. Revenue from ad-hoc works is recognised at a point in time, when the work is completed. Invoices are issued according to contract terms and are usually payable within 30 days.

Power charges and connectivity income

Revenue is recognised over time as the services are provided. Invoices are issued according to contractual terms (including any modifications to those terms that are established by customary business practices) and are usually payable within 30 days.

Contract assets

Contract assets are recognised when the Group has rights to consideration for services that the Group has transferred to a customer when that right is conditional on something other than the passage of time.

Contract liabilities

Contract liabilities are recognised when the Group receives an advance consideration from customers when there is an obligation to transfer services.

Contract costs

Incremental costs to obtain a contract with a customer are capitalised if these costs are expected to be recovered. The capitalised costs are amortised over the tenure of the contract.

2.15 Finance income and finance expense

Finance income

Finance income is recognised as interest accrues on cash balances held by the Group. Where any interest is charged to a customer on any overdue receivables, this would also be recognised within finance income. Interest income is recognised using the effective interest method.

Finance expense

Any finance *expense* that are separately identifiable and directly attributable to the acquisition or construction of an asset that takes a period of time to complete are capitalised as part of the cost of the asset. All other finance costs are expensed in the period in which they relate. Finance costs consist of interest and other costs that an entity incurs in connection with bank and other borrowings. Interest expense is recognised using the effective interest method.

The 'effective interest rate' is the rate that exactly discounts estimated future cash payments or receipts through the financial instrument to:

- The gross carrying amount of the financial asset; or
- The amortised cost of the financial liability

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.15 Finance income and finance expense (continued)

In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortised cost of the liability. However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortised cost of the financial asset. If the asset is no longer credit impaired, then the calculation of interest income reverts to the gross basis.

2.16 Employee benefits

Short term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Group pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the income statement in the periods during which services are rendered by employees.

Other long-term employee benefits

Other long-term employee benefits are measured on a discounted basis and are expensed as the related employee service is provided. The present value of the amount payable to employees is calculated using the projected unit credit method and recognised as an expense, with a corresponding increase in liabilities, over the period in which the employees become unconditionally entitled to payment. The liability is remeasured at each balance sheet date and at the settlement date. Any changes in the present value of the liability, including unwind of the discounting, are recognised as staff costs in profit or loss.

Termination benefits

Termination benefits are expensed at the earlier of when the Group can no longer withdraw the offer of those benefits and when the Group recognises costs for a restructuring. If benefits are not expected to be settled wholly within 12 months of the reporting date, then they are discounted.

2.17 Provisions

Provisions relate principally to obligations arising from dilapidations arrangements in lease contracts for data centre sites and any claims arising from performance against the terms of customer contracts. A provision is recognised when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of any discount is recognised as a finance cost.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.17 Provisions (continued)

Dilapidation provision

A dilapidation provision is recognised when there is a contractual obligation to return a leased property to its original condition at the end of the lease term. The Group recognises a dilapidation provision for all leasehold data centre properties based on detailed third-party estimates, on a current value basis, of the cost to remove installed equipment and restore the internal and external structure of the premises to their original condition on commencement of the lease. The current third-party estimate is discounted back to a present value at a risk-free rate representative of the remaining term of the lease.

2.18 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk. A number of the Group's accounting policies and the disclosures require the measurement of fair values, for both financial and non-financial financial assets and liabilities.

When one is available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all the factors that market participants would take into account in pricing a transaction.

If an asset or liability measured at fair value has a bid price and an ask price, then the Group measures assets and long positions at a bid price and liabilities and short positions at an ask price.

The best evidence of the fair value of a financial instrument on initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Group determines that the fair value on initial recognition differs from the transaction price and their fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique for which any unobservable inputs are judged to be insignificant in relation to the measurement, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value on initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data or the transaction is closed out.

Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.19 Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the profit or loss, except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity or in OCI.

2.19.1 Current tax

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years. The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. Current tax assets and liabilities are offset only if certain criteria are met.

2.19.2 Deferred tax

Deferred tax is provided on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

The following temporary differences are not provided for:

- the initial recognition of goodwill;
- the initial recognition of assets or liabilities that affect neither accounting nor taxable profit other than in a business combination and does not give rise to equal taxable and deductible temporary differences; and
- differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future.

The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

Deferred tax assets are recognised for the unused tax losses, unused tax credits and deductible temporary differences only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Future taxable profits are determined based on the reversal of relevant taxable temporary differences. If the amount of taxable temporary differences is insufficient to recognise a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered, based on the business plan for individual subsidiaries of the Group. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised; such reductions are reversed when the probability of future taxable profits improves.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used. Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date and reflects uncertainty related to income taxes, if any.

2.20 Foreign currency

Transactions in foreign currencies are translated to the respective functional currencies of Group entities at the foreign exchange rate in effect at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are translated to the functional currency at the foreign exchange rate in effect at that date. Foreign exchange differences arising on translation are recognised in the income statement. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate in effect at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are translated to the functional currency at foreign exchange rates in effect at the dates the fair values are determined.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

2 Accounting policies (continued)

2.20 Foreign currency (continued)

The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on consolidation, are translated to the Group's presentational currency of pounds sterling, at foreign exchange rates in effect at the balance sheet date. The revenues and expenses of foreign operations are translated at an average rate for the year where this rate approximates to the foreign exchange rates in effect at the dates of the transactions.

Exchange differences arising from this translation of foreign operations are reported as an item of other comprehensive income and accumulated in the foreign currency translation reserve (FCTR) or non-controlling interest, as appropriate. When a foreign operation is disposed of, such that control, joint control or significant influence (as the case may be) is lost, the entire accumulated amount in the FCTR, net of amounts previously attributed to non-controlling interests, is recycled to profit or loss as part of the gain or loss on disposal. When the Group disposes of only part of its interest in a subsidiary that includes a foreign operation while still retaining control, the relevant proportion of the accumulated amount is reattributed to non-controlling interests. When the Group disposes of only part of its investment in an associate or joint venture that includes a foreign operation while still retaining significant influence or joint control, the relevant proportion of the cumulative amount is recycled to profit or loss.

Exchange differences arising from a monetary item receivable from or payable to a foreign operation, the settlement of which is neither planned nor likely in the foreseeable future, are considered to form part of a net investment in a foreign operation and are recognised directly in equity in the translation reserve.

3 UK-adopted IFRS standards issued but not yet effective

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Group's its subsidiaries ("the Group") are disclosed below. The Group intends to adopt these new and amended standards and interpretations, if applicable, when they become effective.

- Amendments to IAS 21 Lack of exchangeability (effective from 1 January 2025).
- Amendments to IFRS 18 Presentation and Disclosure in Financial Statements (effective from 1 January 2027).
- Amendments to IFRS 19 Subsidiaries without Public Accountability: Disclosures (effective from 1 January 2027).

4 Significant accounting judgements, estimates and assumptions

The Group makes certain estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Estimates and judgements are continually evaluated based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may differ from these estimates and assumptions. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

Assumptions and estimation uncertainties

(a) Impairment of goodwill

The Group is required to test, on an annual basis, whether goodwill has suffered any impairment. The recoverable amount is determined based on value in use calculations. The use of this method requires the estimation of future cash flows and the choice of a discount rate in order to calculate the present value of the cash flows. More information on carrying values is included in note 13.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

4 Significant accounting judgements, estimates and assumptions (continued)

Assumptions and estimation uncertainties (continued)

(b) Useful lives of property, plant and equipment

Depreciation is provided so as to write down the assets to their residual values over their estimated useful lives as set out in the Group's accounting policy. The selection of these estimated lives requires the exercise of management judgement. Useful lives are regularly reviewed, and should management's assessment of useful lives shorten, then depreciation charges in the financial statements would increase and carrying amounts of property, plant and equipment would reduce accordingly. The carrying amount of property, plant and equipment by each class is included in note 11.

(c) Measurement of provisions - dilapidation provision

The Group estimates the present value of any future unavoidable costs of restoring leasehold properties to their original condition at the commencement of the lease. In arriving at this estimate the Group makes assumptions, based on input from third-party subject matter experts, about the likelihood and magnitude of future outflows of economic resources to carry out the necessary restoration work. These estimates are in current value terms, so the Group also applies an estimated discount rate, based on a risk-free rate over a term comparable to the remaining life of the lease, to determine a present value of these cash outflows.

(d) Measurement of provisions – claims

The Group estimates the value of any claims that it expects to be contractually obligated to pay in the future, using all relevant information available to management at the reporting date. Typically, this will be based on consideration of the terms of the relevant contracts, consultation with subject matter experts and other information made available by the counterparty to the contract. The best estimate of the cost to be incurred may be either the probability-weighted expected value taking into account all possible outcomes if the provision relates to a large population of items, or the most likely outcome if the provision is for a single item but there is uncertainty over inputs to the assessment of cost. Provisions are remeasured at each reporting date, or when better quality information becomes available if this results in a material change to the provision.

(e) Determination of incremental borrowing rate (IBR)

Management is required to exercise judgement in determining the incremental borrowing rate (IBR) used to discount lease liabilities in cases where the interest rate implicit in the lease is not readily determinable. The IBR is intended to reflect the rate of interest the entity would have to pay to borrow a similar amount, over a similar term, and with similar security, in a comparable economic environment. Determining the appropriate rate involves the consideration of various factors, including the entity's credit standing, the duration of the lease, the nature and value of the underlying asset, and current market conditions. This assessment is inherently subjective and can have a significant impact on the measurement of lease-related balances in the financial statements. Changes in any of these assumptions could lead to material differences in reported lease liabilities and related assets.

Judgements

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognised in the financial statements are discussed below.

(a) Lease contracts with customers

The Group has acquired data centre assets that are subject to commercial property leases with some of its customers. For certain contracts with customers, the Group has determined, based on an evaluation of the terms and conditions of the arrangements, that the arrangement conveys to the customer a right to use the asset, but the Group retains all the significant risks and rewards of ownership of these properties and so accounts for the leases as operating leases.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

4 Significant accounting judgements, estimates and assumptions (continued)

Judgements (continued)

(b) Lease components within contracts with customers

The Group has certain contracts with customers in which a lease component has been identified under IFRS 16. For these contracts the Group has determined, based on an evaluation of the terms and conditions of the agreements, that the arrangement conveys to the customer a right to use the asset component, but the Group retains all the significant risks and rewards of ownership of the proportion of the properties and the proportion of the contract deemed a lease component and so accounts for the lease component of the contract as an operating lease.

The Group performs a calculation based on the area of space occupied by the customer in the data hall to establish a relative standalone selling price for the component and separates this amount from the total contract value for disclosure purposes. This calculation is based on the rental cost per unit area of the property that VIRTUS incurs, establishing an estimated fair value of the price per square meter of data centre space at the location in question, then adds a mark-up of 10% to give an estimated standalone selling price per square meter.

5 Financial instruments – Risk management

The Group is exposed through its operations to the following financial risks:

- Credit risk
- Market risk
- Liquidity risk

In common with all other businesses, the Group is exposed to risks that arise from its use of financial instruments. This note describes the Group's objectives, policies and processes for managing those risks and the methods used to measure them. Further quantitative information in respect of these risks is presented throughout these financial statements.

In the current year, the Group has expanded its operations into EMEA which has led to the Group being exposed to foreign currency risks. Otherwise, there have been no substantive changes in the Group's exposure to financial instrument risks, its objectives, policies and processes for managing those risks or the methods used to measure them from previous periods unless otherwise stated in this note except for.

General objectives, policies and processes

The Board has overall responsibility for the determination of the Group's risk management objectives and policies and, whilst retaining ultimate responsibility for them, it has delegated the authority for designing and operating processes that ensure the effective implementation of the objectives and policies to the Group's finance function. The Board receives quarterly reports from the Chief Financial Officer through which it reviews the effectiveness of the processes put in place and the appropriateness of the objectives and policies it sets.

The overall objective of the Board is to set policies that seek to reduce risk as far as possible without unduly affecting the Group's competitiveness and flexibility. Further details regarding these policies are set out in this note.

(i) Principal financial instruments

The principal financial instruments used by the Group, from which financial instrument risk arises, are as follows:

- Trade receivables and other receivables
- Cash and cash equivalents
- Trade and other payables
- Loans and other borrowings
- Derivatives designated as hedging instruments
- Lease liabilities

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

5 Financial instruments – Risk management (continued)

(ii) Financial instruments by category

	Current		Non-current	
	2024 £'000	2023 £'000	2024 £'000	2023 £'000
Financial assets				
Amortised cost				
Cash and cash equivalents	35,863	32,038	-	-
Trade and other receivables	113,013	174,870	16,051	8,788
Fair value through other comprehensive income				
Interest rate swaps used for hedging	8,953	23,032	7,268	4,374
Total	157,829	229,940	23,319	13,162
Financial liabilities				
Amortised cost				
Trade and other payables	82,542	122,650	2,796	1,309
Amount due to related parties	476,704	436,522	-	-
Loans and other borrowings	16,279	17,873	932,509	833,676
Lease liabilities	10,391	8,811	283,850	227,880
Total	585,916	585,856	1,219,155	1,062,865
Net total	(428,087)	(355,916)	(1,195,836)	(1,049,703)

(iii) Financial instruments not measured at fair value

Financial instruments not measured at fair value includes cash and cash equivalents, trade and other receivables, trade and other payables, lease liabilities and loans and borrowings.

Due to their short-term nature, the carrying values of cash and cash equivalents, trade and other receivables and trade and other payables approximate their fair value.

Leases are carried at amortised cost. The fair value of the lease contract is estimated by discounting contractual future cash flows (Level 2 as defined by IFRS 13).

Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The Group is mainly exposed to credit risk from credit sales. It is Group policy, implemented locally, to assess the credit risk of new customers before entering contracts. Such credit ratings are taken into account by local business practices.

Credit risk also arises from cash and cash equivalents and deposits with banks and financial institutions. For banks and financial institutions, only independently rated parties with a minimum rating of "A" are accepted.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

5 Financial instruments – Risk management (continued)

Cash in bank

A significant amount of cash is held with the following institutions:

	2024 Cash at bank £'000	2023 Cash at bank £'000
Barclays Bank PLC	25,713	25,849
Standard Chartered Bank - ISRA	10,150	6,189
	<u>35,863</u>	<u>32,038</u>

The amounts held with Standard Chartered Bank as Interest Service Reserve Amounts ("ISRA") are subject to contractual restrictions and may be withdrawn on demand towards interest payments due to be made on its related facilities or for any other purpose subject to the amount remaining being compliant with the restrictions. Accordingly, the Group concluded that the contractual limitations on the use of the amounts held in ISRA do not alter their nature, and therefore, these amounts continue to be classified as cash.

Management monitors the credit ratings of counterparties regularly and at the reporting date does not expect any losses from non-performance by the counterparties.

Trade and other receivables

The carrying amounts of financial assets and contract assets in the statement of financial position represent the Group's maximum exposures to credit risk.

The Group's primary exposure to credit risk arises through its trade receivables and contract assets. In monitoring customer credit risk, the Group allocates exposure to credit risk by segmenting the customers based on customer type.

Customers are segmented by customer type and an ECL rate is calculated for each customer type based on probabilities of default and loss given default. Lifetime probabilities of default are based on published external sources. The Group monitors changes in credit risk by tracking the probabilities of default from published external sources. Loss allowances are adjusted for current conditions and the Group's view of economic conditions over the expected lives of the receivables only if these factors have a significant impact to the credit loss.

The ageing analysis of gross trade receivables is as follows:

	2024 £'000	2023 £'000
Not past due	70,962	84,754
Past due 1-30 days	10,036	14,364
Past due 31-60 days	2,676	2,231
Past due 61-90 days	1,407	876
Past due 91-120 days	1,614	18,392
	<u>86,695</u>	<u>120,617</u>

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

5 Financial instruments – Risk management (continued)

Trade and other receivables (continued)

Lifetime ECL on trade receivables and unbilled receivables:

	2024 £'000	2023 £'000
At 1 January	1,314	1,318
Additional ECL recognised during the year	-	391
Additional specific provision for impairment recognised during the year	1,332	1,776
Amount utilised during the year	(478)	(2,171)
Amount reversed during the year	(87)	-
At 31 December	2,081	1,314

Included in the provision for impairment recognised during the year is specific impairment on trade receivables of £1.3m (2023: £1.8m) of which £0.2m (2023: £1.1m) was utilised in the current year.

The table below shows an analysis of exposure to credit risk for trade receivables and contract assets by customer type.

Customer type	Weighted average loss rate %	Gross carrying amount £'000	Expected credit loss allowance £'000
2024			
Cloud provider customers*	0.56	123,322	692
Other	6.69	20,755	1,389
		144,077	2,081
2023			
Cloud provider customers*	0.21	187,883	400
Other	3.18	28,759	914
		216,642	1,314

*Cloud provider customers are customers that deliver cloud computing-based services and solutions to businesses and/or individuals.

Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market factors. Market risk arises for the Group from its use of variable interest-bearing instruments (interest rate risk) and transactions in foreign currency (foreign currency risk) explained further below.

The Group finances its operations through a mixture of retained profits, shareholder's equity and external borrowings. The Group borrows at floating rates of interest and then uses interest rate swap, caps and floors to generate the desired interest and risk profile. Although the Board accepts that this policy neither protects the Group entirely from the risk of paying rates in excess of current market rates nor eliminates fully cash flow risk associated with variability in interest payments, it considers that it achieves an appropriate balance of exposure to these risks.

Under interest rate swap contracts, the Group agrees to exchange the difference between fixed and floating rate interest amounts calculated on agreed notional principal amounts. Such contracts enable the Group to mitigate the risk of changing interest rates on the cash flow exposures on the issued variable rate debt held. The fair value of interest rate swaps at the reporting date is determined by discounting the future cash flows using the curves at the reporting date and the credit risk inherent in the contract.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

5 Financial instruments – Risk management (continued)

Market risk (continued)

As the critical terms of the interest rate swap contracts and their corresponding hedged items are the same, the Group performs a qualitative assessment of effectiveness and it is expected that the value of the interest rate swap contracts and the value of the corresponding hedged items will systematically change in opposite direction in response to movements in the underlying interest rates. The main source of hedge ineffectiveness in these hedge relationships is due to the Hedging instruments having a non-zero fair value at the hedge designation date due to market changes that have occurred since the instrument's inception. The non-zero fair value element introduces a source of ineffectiveness into the hedging relationship. The cumulative hedge ineffectiveness to be recognised over the life of the hedging relationship will be equal to the difference between the undiscounted cash flows (the sum of the fixed payments defined by the difference between the actual and hypothetical derivative strike rates) and the discounted cash flows of the hedging Instruments at hedge designation date (i.e. the "embedded loan"). No other sources of ineffectiveness emerged from these hedging relationships.

The Group believes that there is a reasonable possibility that the variable rate benchmark associated with it's variable rate financial instruments will reduce by 0.5% (2024: 0.6%) in the upcoming financial year ending 31 December 2025, this will likely give rise to a £1.0m (2024: £1.6m) reduction in cash interest expense on the variable rate financial instruments.

Market risk - Foreign currency risk

The Group's exposure to foreign currency risk is as follows. This is based on the carrying amount for monetary financial instruments.

		Singapore			
	Sterling	Dollar	Euro	US Dollar	Total
2024	£'000	£'000	£'000	£'000	£'000
Cash and cash equivalents	35,863	-	-	-	35,863
Trade receivables and other receivables	180,398	-	13	11	180,421
Trade payables and other payables	(133,120)	(80)	(556)	(167)	(133,923)
Net exposure	83,141	(80)	(543)	(156)	82,362

		Singapore			
	Sterling	Dollar	Euro	US Dollar	Total
2023	£'000	£'000	£'000	£'000	£'000
Cash and cash equivalents	32,038	-	-	-	32,038
Trade receivables and other receivables	223,765	-	2	-	223,767
Trade payables and other payables	(169,360)	-	(11)	(27)	(169,398)
Net exposure	86,443	-	(9)	(27)	86,407

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

5 Financial instruments – Risk management (continued)

Sensitivity analysis

This calculation assumes that the change occurred at the balance sheet date and had been applied to risk exposures existing at that date. This analysis assumes that all other variables, in particular other exchange rates and interest rates, remain constant.

		Effect on profit/(loss) before tax £'000	Effect on pre-tax equity £'000
	Change in USD rate		
2024			
	1% strengthening	(2)	(2)
	1% weakening	2	2
2023			
	1% strengthening	-	-
	1% weakening	-	-
	Change in Euro rate		
		Effect on profit/(loss) before tax £'000	Effect on pre-tax equity £'000
2024			
	1% strengthening	(5)	(5)
	1% weakening	5	5
2023			
	1% strengthening	-	-
	1% weakening	-	-
	Change in Singapore Dollar rate		
		Effect on profit/(loss) before tax £'000	Effect on pre-tax equity £'000
2024			
	1% strengthening	(1)	(1)
	1% weakening	1	1
2023			
	1% strengthening	-	-
	1% weakening	-	-

Liquidity risk

Liquidity risk arises from the Group's management of working capital and the finance charges and principal repayments on its debt instruments. It is the risk that the Group will encounter difficulty in meeting its financial obligation as they fall due.

The Group's policy is to ensure that it will always have sufficient cash to allow it to meet its liabilities when they become due. The Group also seeks to reduce liquidity risk by fixing or reducing the exposure to variability in interest rates (and hence cash flows) of its long-term borrowings through the use of interest rate swaps, caps and floors as noted above.

The Board receives rolling 12-month cash flow projections on a regular basis as well as information regarding cash balances. As disclosed in note 18, the Group has secured bank loans which contain a debt covenant. A future breach of this covenant may require the Group to repay the loan earlier than indicated in the table below. Under the agreement, the covenant is monitored on a regular basis by management to ensure compliance with this agreement.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

5 Financial instruments – Risk management (continued)

Liquidity risk (continued)

The following table sets out the contractual maturities (representing undiscounted contractual cash flows) of financial assets and liabilities:

Contractual cash flows					
	Carrying Amount £'000	Up to 1 Year £'000	Between 1 and 5 years £'000	After 5 years £'000	Total Cash flows £'000
2024					
Financial liabilities - Non-Derivative					
Trade and other payables	85,338	82,542	2,796	-	85,338
Amount due to related parties	476,704	476,704	-	-	476,704
Lease liabilities	294,241	26,998	109,357	331,742	468,097
Bank borrowings	948,788	81,350	1,020,045	-	1,101,395
	<u>1,805,071</u>	<u>667,594</u>	<u>1,132,198</u>	<u>331,742</u>	<u>2,131,534</u>

Contractual cash flows					
	Carrying Amount £'000	Up to 1 Year £'000	Between 1 and 5 years £'000	After 5 years £'000	Total Cash flows £'000
2023					
Financial liabilities - Non-Derivative					
Trade and other payables	123,959	122,650	1,309	-	123,959
Amount due to related parties	436,522	436,522	-	-	436,522
Lease liabilities	236,691	20,267	82,891	244,703	347,861
Bank borrowings	851,549	76,736	968,268	-	1,045,004
	<u>1,648,721</u>	<u>656,175</u>	<u>1,052,468</u>	<u>244,703</u>	<u>1,953,346</u>

6 Revenue

Revenue is made up of:

	2024 £'000	2023 £'000
Revenue from contracts with customers	469,456	341,681
Lease income	16,790	17,314
Total revenue	<u>486,246</u>	<u>358,995</u>

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

6 Revenue (continued)

Disaggregation of revenue from contracts with customers

Revenue from contracts with customers is disaggregated by major service lines as below:

	Timing of transfer of service	2024 £'000	2023 £'000
Co-location revenue	Over time	209,129	192,706
Power charges recoverable	Over time	258,531	142,462
Ancillary services income	Point in time	1,796	2,313
Other revenue	Point in time	-	4,200
Revenue from contractors with customers		469,456	341,681

Revenue represents amounts chargeable, net of value added tax, in respect of the sales of goods and services to customers in the United Kingdom.

In 2024, three customers each individually contributed more than 10% of total revenue, collectively contributing £407.8m (83%). In 2023, three customers each individually contributed more than 10% of total revenue, collectively contributing £284.4m (79%).

Contract balances

The following table provides information about opening and closing receivables, contract assets and contract liabilities from contracts with customers.

	2024 £'000	2023 £'000
Receivables, which are included in trade and other receivables	107,961	168,584
Contract assets	33,584	29,640
Contract liabilities	11,662	8,165

The contract assets primarily relate to the Group's rights to consideration for services provided but not billed at the reporting date on co-location revenue. The contract assets are transferred to receivables when the rights become unconditional.

The contract liabilities primarily relate to the advance consideration received from customers for co-location revenue for which revenue is recognised over time.

Significant changes in the contract assets and the contract liabilities balances during the period are as follows:

	2024 £'000	2023 £'000
Contract assets		
Opening balance	29,640	14,113
Contract assets recognised, net of reclassification	16,129	19,337
Recognition of receivables from prior year balance	(10,368)	(3,053)
Adjustments arising from changes in transaction price	(1,012)	-
Transfers from contract assets recognised at the beginning of period to contract liability	(805)	(757)
Closing balance	33,584	29,640

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

6 Revenue (continued)

	2024 £'000	2023 £'000
Contract liabilities		
Opening balance	8,165	12,468
Revenue recognised from prior year balance	(8,165)	(12,468)
Cash received in advance and not recognised as revenue	11,662	8,165
Closing balance	11,662	8,165

Transaction price allocated to the remaining performance obligations

The following table includes revenue expected to be recognised in the future related to performance obligations that are unsatisfied (or partially unsatisfied) at the reporting date.

	2024 £'000	2023 £'000
<i>Within 1 year</i>	205,592	196,217
<i>1 to 5 years</i>	595,924	582,491
<i>After 5 years</i>	489,239	600,561
	1,290,755	1,379,269

All performance obligations to be fulfilled within one year as at 31 December 2024 were satisfied during the current year.

Variable consideration that is constrained and therefore not included in the transaction price is excluded from the amounts presented above.

Contract costs

	2024 £'000	2023 £'000
Costs to obtain contracts with customers	5,710	6,630

The Group pays success-based sales commissions to employees for securing long term sales contracts. Such commissions are incremental costs and are capitalised as contract costs. Contract costs are amortised consistent with the pattern of revenue recognition for the related contract. In the current period, the amount of amortisation was £1.3m (2023: £1.3m).

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

7 Operating profit

Operating profit is stated after charging/(crediting):

	2024 £'000	2023 £'000
Depreciation of property, plant and equipment	71,507	64,340
Depreciation of right-of-use assets	11,445	9,984
Amortisation of contract costs	1,313	1,253
Auditor's remuneration	1,132	874
Foreign exchange (gain)/loss	(1)	62
Amortisation of intangible assets	35	285
Impairment on property, plant and equipment	817	-
Impairment of goodwill	14,957	4,272
Business rates	13,625	3,608

All auditor's remuneration in the current year and the prior year related to provision of audit services and are paid on behalf of the group by VIRTUS Holdco Limited.

8 Staff costs

	2024 £'000	2023 £'000
Employee benefit expenses (including those of directors) comprise:		
Remuneration	20,130	19,190
Social security contributions and similar taxes	2,854	2,500
Company contributions to money purchase pension plans	642	599
Amounts receivable under long-term incentive schemes	9,540	15,989
Other staff costs	1,562	774
Total employee benefit expense	34,728	39,052

The average monthly number of persons (including directors) employed by the Group during the year was:

	2024 Number	2023 Number
Selling and distribution	19	17
Operations	161	154
Finance and administration	44	40
Total	224	211

Defined contribution plans

The Group operates a defined contribution pension plan. The total cost charged to the Consolidated statement of comprehensive income in 2024 of £0.64m (2023: £0.62 m) represents contributions payable to these schemes by the Group at rates specified in the rules of the schemes. Contributions amounting to £0.2m (2023: £0.3m) were payable to the schemes at 31 December 2024 and are included in trade and other payables as shown in note 17.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

8 Staff costs (continued)

Key management personnel

The compensation of key management personnel (including the directors) is as follows:

	2024 £'000	2023 £'000
Remuneration (including social security costs)	1,500	1,526
Company contributions to money purchase pension plans	3	3
Amounts receivable under long-term incentive schemes	2,627	4,693
	<u>4,129</u>	<u>6,221</u>

Directors' remuneration

	2024 £'000	2023 £'000
Directors' remuneration	1,341	1,348
Company contributions to money purchase pension plans	3	3
Amounts receivable under long-term incentive schemes	2,627	4,693
	<u>3,971</u>	<u>6,044</u>

Remuneration of the highest paid director	2,680	4,265
Directors who are members of money purchase pension plans	2	2

During the current year, none of the directors exercised share purchase options (2023: nil).

9 Finance income and expense

Recognised in profit and loss

	2024 £'000	2023 £'000
Finance income		
Interest income	1,684	724
Gain on refinancing	-	763
Interest income on interest rate hedging contracts	20,200	21,588
Net change in fair value of cash flow hedges reclassified from equity	4,315	-
Ineffective portion of changes in fair value of cash flow hedges	491	1
Total finance income	<u>26,690</u>	<u>23,076</u>

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements for the year ended 31 December 2024 (continued)

9 Finance income and expense (continued)

Recognised in profit and loss (continued)

	2024 £'000	2023 £'000
Finance expense		
Interest on bank loans	45,509	64,938
Lease interest accretion	8,950	8,343
Movement in fair value of interest rate derivatives	-	1,926
Dilapidation provision interest accretion (note 19)	1,058	949
Bank charges and other fees	2,565	7,364
Total finance expenses	58,082	83,520

10 Taxation

	2024 £'000	2023 £'000
Current tax:		
UK corporation tax	-	-
Total current tax	-	-
Deferred tax:		
Origination and reversal of temporary differences	7,007	(4,302)
Adjustments in respect of prior years	(2,987)	(2,527)
Total deferred tax charge/(credit)	4,020	(6,829)
Tax charge/(credit) for the year	4,020	(6,829)

Aggregate current tax and deferred tax arising in the reporting period and not recognised in net profit or loss but directly credited to other comprehensive income:

	2024 £'000	2023 £'000
Current tax:		
Tax on gain/(loss) arising on changes in fair value of hedging	-	-
Deferred tax:		
Effective portion of changes in fair value of cash flow hedges	2,108	1,253
Tax on change in fair value of cash flow hedge reclassified to profit or loss	(6,128)	(4,974)
Impact of increase in tax rate	-	(238)
Total	(4,020)	(3,959)

Deferred tax assets and liabilities have been calculated based on the substantively enacted rate of 25% (2023: 25%).

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

10 Taxation (continued)

Pillar Two legislation has been substantively enacted in the UK, where the Group operates, and is effective for the Group's financial year beginning on 1 January 2024. The Group has performed an assessment of its potential exposure to Pillar Two income taxes based on the current forecast. The Group met one of the safe harbours and does not expect to pay any Pillar Two top-up taxes. Additionally, the Group does not operate in low-tax jurisdictions and will continue to monitor the application of the rules and their potential impact on the Group.

The reasons for the difference between the actual tax credit for the year and the standard rate of corporation tax in the United Kingdom applied to the loss for the year are as follows:

Reconciliation of the total tax charge/(credit):

The tax charge/(credit) assessed for the year (2023: 23.5%) is higher than the standard rate of corporation tax in the UK of 25%. The differences are explained below:

	2024 £'000	2023 £'000
Profit/(loss) before tax	13,797	(9,693)
Profit/(loss) at the standard rate of corporation tax in the UK of 25% (2023: 23.5%)	3,449	(2,277)
Non-deductible expenses	4,663	2,011
Corporate interest restriction	185	6,865
Property, plant and equipment differences	-	(101)
Recognition of previously unrecognised tax losses	8,483	(2,563)
Recognition of previously unrecognised CIR	(9,428)	(8,088)
Group tax relief (surrendered)/claimed	(345)	122
Change in tax rates	-	(271)
Adjustments in respect of prior years	(2,987)	(2,527)
Tax charge/(credit) for the year	4,020	(6,829)

Deferred tax

Deferred tax assets have not been recognised in respect of the following items:

	2024 £'000 Gross	2024 £'000 Tax	2023 £'000 Gross	2023 £'000 Tax
Tax losses	50,831	12,708	15,470	3,868
Corporate Interest Restrictions	25,851	6,463	78,957	19,739
Provisions for dilapidations	9,058	2,264	7,166	1,791
	85,740	21,435	101,593	25,398

The deductible temporary differences and tax losses do not expire under current tax legislation. Deferred tax assets have not been recognised in respect of these items because of uncertainty regarding the timing of future taxable profits against which the Group can utilise the benefits.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

10 Taxation (continued)

Deferred tax liabilities

Movements in deferred tax assets and liabilities are as follows:

	At 1 January 2024 £'000	Recognised in income statement £'000	Recognised in other comprehensive income £ '000	At 31 December 2024 £'000
Deferred tax assets				
Unutilised tax losses	9,339	(8,724)	-	615
Provision for dilapidation	3,724	30	-	3,754
Corporate Interest Restriction	9,492	10,307	-	19,799
	22,555	1,613	-	24,168
Deferred tax liabilities				
Property, plant and equipment	(4,937)	(5,399)	-	(10,336)
Capitalised interest	(6,531)	(1,854)	-	(8,385)
Derivative financial instrument	(7,363)	1,650	4,020	(1,693)
Right of use asset	(3,724)	(30)	-	(3,754)
	(22,555)	(5,633)	4,020	(24,168)
Net deferred tax liabilities	-	(4,020)	4,020	-

	At 1 January 2023 £'000	Recognised in income statement £'000	Recognised in other comprehensive income £ '000	At 31 December 2023 £'000
Deferred tax assets				
Unutilised tax losses	6,472	2,867	-	9,339
Provision for dilapidation	-	3,724	-	3,724
Corporate Interest Restriction	-	9,492	-	9,492
	6,472	16,083	-	22,555
Deferred tax liabilities				
Property, plant and equipment	(1,609)	(3,328)	-	(4,937)
Intangible assets	(62)	62	-	-
Capitalised interest	(5,304)	(1,227)	-	(6,531)
Derivative financial instrument	(10,285)	(1,037)	3,959	(7,363)
Right of use asset	-	(3,724)	-	(3,724)
	(17,260)	(9,254)	3,959	(22,555)
Net deferred tax liabilities	(10,788)	6,829	3,959	-

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

11 Property, plant and equipment

	Freehold Land & Building £'000	Freehold Improvements £'000	Leasehold Land & Building £'000	Leasehold Improvements £'000	Data Centre Equipment £'000	Network Equipment £'000	Computers & Telecom Equipment £'000	Office Equipment, Furniture and fitting £'000	Assets under Construction £'000	Total
Cost or valuation										
At 1 January 2023	19,418	12,732	74,387	150,872	825,615	2,959	2,252	2,802	137,436	1,228,473
Additions	-	-	-	-	4,264	-	24	486	140,484	145,258
Disposals	-	-	-	-	-	-	(1)	(3)	-	(4)
Reclass within asset classes	-	29	11,858	14,743	128,515	210	850	1,802	(158,007)	-
At 31 December 2023	19,418	12,761	86,245	165,615	958,394	3,169	3,125	5,087	119,913	1,373,727
Additions	-	-	-	-	-	-	-	-	245,718	245,718
Disposals	-	-	-	-	(1,265)	-	-	-	-	(1,265)
Reclass within asset classes	-	-	3,036	6,687	67,996	129	2	770	(78,620)	-
At 31 December 2024	19,418	12,761	89,281	172,302	1,025,125	3,298	3,127	5,857	287,011	1,618,180

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements
for the year ended 31 December 2024 (continued)

11 Property, plant and equipment (continued)

	Freehold Land & Building £'000	Freehold Improvements £'000	Leasehold Land & Building £'000	Leasehold Improvements £'000	Data Centre Equipment £'000	Network Equipment £'000	Computers & Telecom Equipment £'000	Office Furniture and fitting £'000	Assets under Construction £'000	Total
At 1 January 2023	(1,570)	(5,923)	(9,585)	(33,358)	(155,267)	(1,400)	(1,926)	(1,748)	-	(210,777)
Depreciation for the year	(184)	(680)	(4,153)	(8,210)	(49,626)	(206)	(378)	(903)	-	(64,340)
Disposals	-	-	-	-	1	-	1	2	-	4
At 31 December 2023	(1,754)	(6,603)	(13,738)	(41,568)	(204,892)	(1,606)	(2,303)	(2,649)	-	(275,113)
Depreciation for the year	(184)	(681)	(4,643)	(8,840)	(55,178)	(237)	(503)	(1,241)	-	(71,507)
Impairment loss	-	-	-	-	(817)	-	-	-	-	(817)
Disposals	-	-	-	-	1,265	-	-	-	-	1,265
At 31 December 2024	(1,938)	(7,284)	(18,381)	(50,408)	(259,622)	(1,843)	(2,806)	(3,890)	-	(346,172)
Net book value										
At 31 December 2023	17,664	6,158	72,507	124,047	753,502	1,563	822	2,438	119,913	1,098,614
At 31 December 2024	17,480	5,477	70,900	121,894	765,503	1,455	321	1,967	287,011	1,272,008

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

11 Property, plant and equipment (continued)

The construction costs incurred during the year amounted to £241.3m (2023: £140.7m). Borrowing costs capitalised to property, plant and equipment amounted to £13.0m (2023: £6.0m) with a capitalisation rate of 7.0% (2023: 7.6%).

Security

The bank loans are secured by a fixed charge over the Group's total assets. Accordingly, as at 31 December 2024, property plant and equipment with a carrying amount of £1,272.0m (2023: £1,098.6m) were pledged as security.

12 Right-of-use assets

Right-of-use assets relate to leasehold land and buildings.

	Land and buildings £'000
Cost	
At 1 January 2023	232,530
Additions	38,125
Remeasurement	2,090
At 31 December 2023	<u>272,745</u>
Additions	66,473
Remeasurement	1,256
At 31 December 2024	<u><u>340,474</u></u>
Accumulated depreciation	
At 1 January 2023	(48,379)
Depreciation for the year	(12,642)
At 31 December 2023	<u>(61,021)</u>
Depreciation for the year	(15,115)
At 31 December 2024	<u><u>(76,136)</u></u>
Net book value	
At 31 December 2023	211,724
At 31 December 2024	<u><u>264,338</u></u>

Right-of-use-assets include costs of provision for future dilapidation works on leased data centre properties. The net carrying amount of these assets is £18.2m (2023: £18.1m). As at 31 December 2024, right-of-use assets with a carrying amount of £264.3m (2023: £211.7m) were pledged as security.

The remeasurement of right-of-use asset adjustment relates to the re-estimation of the inputs used to determine the carrying value of the dilapidation provision asset.

The right-of-use asset depreciation capitalised during the year was £3.7m (2023: £2.7m).

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

13 Intangible assets and goodwill

	Goodwill £'000	Acquired right £'000	Customer contracts £'000	Total £'000
Cost				
At 31 December 2023 and 2024	27,668	2,000	5,775	35,443
Accumulated amortisation				
At 1 January 2023	-	(373)	(5,525)	(5,898)
Amortisation for the year	-	(35)	(250)	(285)
Impairment of goodwill	(4,272)	-	-	(4,272)
At 31 December 2023	(4,272)	(408)	(5,775)	(10,455)
Amortisation for the year	-	(35)	-	(35)
Impairment of goodwill	(14,957)	-	-	(14,957)
At 31 December 2024	(19,229)	(443)	(5,775)	(25,447)
Net book value				
At 31 December 2023	23,396	1,592	-	24,988
At 31 December 2024	8,439	1,557	-	9,996

VIRTUS Enfield LLP

At 31 December 2024, the Group performed an impairment assessment on the goodwill arising from the acquisition of VIRTUS Enfield (VE LLP). The recoverable amount of this CGU was based on value in use (VIU).

VE LLP's VIU was determined by discounting estimated future cash flows generated from the continuing use of the CGU and a terminal growth rate thereafter. The cash flow projections included specific estimates for VE LLP for a five-year period, based on the Group's five-year business plan. The terminal growth rate was determined based on management's estimate of the long-term compound annual EBITDA growth rate, consistent with the assumptions that a market participant would make.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

13 Intangible assets and goodwill (continued)

The discounted cash flow model was based on the following key assumptions:

Key Assumption	2024	2023	Basis for determining value(s) assigned to key assumption
Discount rate	10%	9%	The discount rate was a pre-tax measure based on a weighted average cost of capital calculation which was based on comparable cost of equity and cost of debt factors. Cost of equity was adjusted for risk free rate and equity risk premium.
Terminal value growth factor	3%	3%	International Monetary Fund (IMF) Real Gross Domestic Product (GDP) growth annual percentage for 5-year cash flows, using 2028 as a reference, combined Bank of England target inflation rate.
Forecast cash flows	Various	Various	Forecasted cash flows have been derived for each cash flow type based on expectations of future outcomes taking into account past experience adjusted for expected revenue growth. Revenue growth was forecasted based on contractually agreed uplifts and renewals. Forecasted operational costs was based on contractually agreed rates adjusted for any inflationary uplifts. Cash flows also took into account anticipated maintenance and replacement capital expenditures based on historic experience and expected future spend as well as taken into market practices in valuing data centres. Five years of cash flows were included in the discounted cash flow model. The final year of the cash flow period included additional operational cost to maintain the value of the assets is taken to perpetuity in determining the terminal value as this reflects the useful economic life of the essential asset included in the CGU.

The values assigned to the key assumptions represents management's assessment of developments in the data centre industry and were based on both external sources and internal sources. Based on the above assumptions, the recoverable amount was estimated to be lower than the carrying amount of the CGU by £15.0m (2023: £4.3m). The determination of a recoverable amount lower than carrying amount has resulted in the conclusion that goodwill was impaired as at 31 December 2024. The events and circumstances resulting in the recognition of the impairment loss are primarily due to prevailing macroeconomic factors, which have increased the discount rate. The main factor driving the higher discount rate is the CGU's specific cost of debt.

Following the impairment loss recognised in the Group's VIRTUS Enfield LLP CGU, the recoverable amount was equal to the carrying amount. Therefore, any adverse movement in a key assumption would lead to further impairment.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

14 Derivative financial instruments

To mitigate the interest rate risk that arises as a result of entering into variable rate linked loans, the Group has entered into interest rate swaps.

	2024 £'000	2023 £'000
Current		
Interest rate caps	-	-
Interest rate swaps	8,953	23,032
At 31 December	8,953	23,032
Non-current		
Interest rate caps	-	-
Interest rate swaps	7,268	4,374
At 31 December	7,268	4,374

Interest rate caps

Interest rate caps were taken out to cap the rate to which daily compounded SONIA can rise and are co-terminus with the initial term of the loan.

The fair value of these contracts is recorded in the Group statement of financial position and is determined by forming an expectation that interest rates will exceed effective interest rates and discounting these cash flows at the prevailing market rates as at the period end. Any movement in the fair value of the derivatives is taken to the Consolidated statement of comprehensive income. No caps were taken out in 2024 (2023: The caps expired on 8 June 2023. The effective interest rate at expiry was 2.25%.)

	2024 £'000	2023 £'000
At 1 January	-	375
Fair value adjustment	-	(375)
At 31 December	-	-

Interest rate swaps

At the reporting date, the Group has outstanding interest rate swap contracts for mitigating interest rate risk of floating rate interest obligations by swapping them for fixed rate interest obligations. The effective interest rate as at year end ranges between 2.76% - 4.0 % (2023: 0.24% - 0.55%). Interest rate swaps are valued using curves of forward rates constructed from market data to project and discount the expected future cash flows.

As of 1 January 2023, the Group elected to apply hedge accounting to the entire interest rate swap portfolio.

At 31 December, the Group held the following instruments to hedge exposures to changes in interest rates.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

14 Derivative financial instruments (continued)

Interest rate swaps in cash flow hedging relationships

	Fair value of assets £'000	Fair value of liabilities £'000	Net fair value £'000	<1 year £'000	1-5 years £'000	>5 years £'000	Contract/ notional amount £'000	Fair value gain £'000
2024								
Interest rate risk								
cash flow								
relationships								
Interest rate swaps	16,221	-	16,221	8,953	7,268	-	750,000	8,433
	16,221	-	16,221	8,953	7,268	-	750,000	8,433

	Fair value of assets £'000	Fair value of liabilities £'000	Net fair value £'000	<1 year £'000	1-5 years £'000	>5 years £'000	Contract/ notional amount £'000	Fair value gain £'000
2023								
Interest rate risk								
cash flow								
relationships								
Interest rate swaps	27,406	-	27,406	23,032	4,374	-	541,000	5,331
	27,406	-	27,406	23,032	4,374	-	541,000	5,331

The amounts at the reporting date relating to items designated as hedged items were as follows:

Hedge items classified as cash flow hedges

	2024 £'000	2023 £'000
Change in value used for calculating hedge ineffectiveness		
Interest rate risk		
Variable rate instruments	8,433	5,331
Cash flow hedge reserve		
Interest rate risk		
Variable rate instruments	4,519	16,581

The amounts relating to items designated as hedging instruments and hedge ineffectiveness were as follows:

	2024 £'000	2023 £'000
Interest rate risk interest rate swaps		
Derivative financial instruments		
Nominal amount	750,000	541,000
Carrying amount- asset	16,221	27,406
Carrying amount- liability	-	-
Balance sheet line item where the hedging instrument is included	Derivative financial instruments	

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements for the year ended 31 December 2024 (continued)

14 Derivative financial instruments (continued)

	2024 £'000	2023 £'000
Interest rate risk interest rate swaps		
Finance income/ (costs)		
Changes in the value of the hedging instrument recognised in OCI	8,433	5,331
Hedge ineffectiveness recognised in profit or loss	491	(1,549)
Income statement line item that includes hedge ineffectiveness	Finance income	Finance costs
Finance income		
Amount reclassified from hedging reserve to income statement	24,515	21,166
Income statement line item affected by the reclassification	Finance income	Finance income

Fair value hierarchy

The following table provides the fair value measurement hierarchy for interest rate derivatives:

	Quoted process in active markets (Level 1) £'000	Significant observable inputs (Level 2) £'000	Significant unobservable inputs (Level 3) £'000	Total £'000
2024				
Interest rate caps	-	-	-	-
Interest rate swaps	-	16,221	-	16,221
	-	16,221	-	16,221
2023				
Interest rate caps	-	-	-	-
Interest rate swaps	-	27,406	-	27,406
	-	27,406	-	27,406

There have been no transfers between Level 1 and Level 3 during either period, nor have there been any transfers between Level 2 and Level 3 during either period.

Financial instruments measured at fair value	Valuation technique	Significant unobservable inputs (Level 3 only)
Interest rate swaps	The fair value is calculated as the present value of the estimated future cash flows. Estimates of future floating-rate cash flows are based on quoted swap rates, futures prices and interbank borrowing rates. Estimated cash flows are discounted using a yield curve constructed from similar sources and which reflects the relevant benchmark interbank rate used by market participants for this purpose when pricing interest rate swaps. The fair value estimate is subject to a credit risk adjustment that reflects the credit risk of the Group and of the counterparty.	Not applicable

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

15 Cash and cash equivalents

	2024 £'000	2023 £'000
Cash at bank	35,863	32,038

Included in cash at bank are Interest Service Reserve Amounts held under the terms of the loan facility agreement amounting to £10.1m (2023: £6.2m) which are subject to contractual restrictions and are unavailable for use by the Group.

16 Trade and other receivables

Current	2024 £'000	2023 £'000
Trade receivables	84,718	119,648
Unbilled receivables	23,243	48,936
Prepayments	3,675	2,413
VAT receivable	8,388	1,425
Other receivables	5,052	6,286
Contract costs	1,120	1,262
Contract assets	16,606	15,171
	142,802	195,141

Non-current	2024 £'000	2023 £'000
Contract costs	4,590	5,368
Contract assets	16,978	14,470
Other financial assets	16,051	8,788
	37,619	28,626

Other financial assets include rent deposits of £16.0m (2023: £8.8m).

The carrying value of trade and other receivables classified at amortised cost approximates fair value.

Security

The bank loans are secured by a fixed charge over the Group's total assets in the United Kingdom. Accordingly, as at 31 December 2024, trade and other receivables with a carrying amount of £180.4m (2023: £223.8m) were pledged as security.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements for the year ended 31 December 2024 (continued)

17 Trade and other payables

	2024 £'000	2023 £'000
Current		
Trade payables	30,853	50,253
Accruals	51,689	72,396
Deferred income	7,426	6,884
Contract liabilities	11,662	8,165
	<u>101,630</u>	<u>137,699</u>
Non-current		
Other trade and other payables	2,796	1,309
Deferred income	29,496	30,390
	<u>32,292</u>	<u>31,699</u>

The carrying value of trade and other payables classified as financial liabilities measured at amortised cost approximates fair value.

18 Loans and borrowings

	2024 £'000	2023 £'000
Current		
Bank loans - secured	<u>16,279</u>	<u>17,873</u>
Non-current		
Bank loans - secured	<u>932,509</u>	<u>833,676</u>
Bank loans	<u>948,788</u>	<u>851,549</u>
Fair value		
Current bank loans	16,279	17,873
Non-current bank loans	932,509	833,676
	<u>948,788</u>	<u>851,549</u>

The carrying amount of floating interest-bearing loans which are repriced every 3 months and fixed interest -bearing loans reflects their fair value. The total size of the Security Net 1 (SN1) facility is £1,227.8m (2023: £1,152.8m), with a maturity date of April 2027.

The Group's loans and borrowings are denominated in sterling. The rate at which sterling denominated floating liabilities are payable is:-

- Security Net 1: 2.45% to 3.25% plus SONIA plus CAS (2023: 2.45% to 3.25% plus SONIA plus CAS) and is repayable by April 2027. The carrying amount of Security Net 1 is £948.8m (2023: £851.5m).

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

18 Loans and borrowings (continued)

The bank loans are secured by a fixed charge over VIRTUS Data Centres Properties Ltd Group's total assets. VIRTUS Data Centres Properties Ltd Group is a wholly owned subsidiary Group of STT VIRTUS Holdco Ltd Group.

The Group is subject to financial covenants, including Loan to Value (LTV), Loan to Cost (LTC) and Interest Cover (DSCR). The Group has complied with all applicable covenant requirements throughout the period covered by these financial statements and does not anticipate any breach of these covenants within the next 12 months.

Reconciliation of movements of liabilities to cash flows arising from financing activities

	Loans and borrowings £'000	Leases £'000	Total £'000
At 1 January 2024	851,549	236,691	1,088,240
Changes from financing cash flows			
Proceeds from bank loan	231,100	-	231,100
Interest paid	(71,023)	-	(71,023)
Payment of transaction costs	(300)	-	(300)
Repayment of bank loan	(120,000)	-	(120,000)
Payment of lease liabilities	-	(21,468)	(21,468)
Total changes from financing cash flows	39,777	(21,468)	18,309
Other changes – liability related			
Capitalised borrowing costs	7,321	5,508	12,829
Interest expense	50,141	8,950	59,091
New leases	-	61,245	61,245
Remeasurement of lease liability	-	3,315	3,315
Total liability related – other changes	57,462	79,018	136,480
At 31 December 2024	948,788	294,241	1,243,029

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements for the year ended 31 December 2024 (continued)

18 Loans and borrowings (continued)

	Loans and borrowings £'000	Leases £'000	Total £'000
At 1 January 2023	699,472	206,374	905,846
Changes from financing cash flows			
Proceeds from bank loan	166,000	-	166,000
Repayment of bank loan	(27,500)	-	(27,500)
Interest paid	(52,546)	-	(52,546)
Payment of transaction costs	(8,485)	-	(8,485)
Payment of lease liabilities	-	(20,145)	(20,145)
Total changes from financing cash flows	77,469	(20,145)	57,324
Other changes – liability related			
Capitalised borrowing costs	3,114	2,873	5,987
Interest expense	72,257	8,343	80,600
Gain on modification of financial liability (IFRS 9)	(763)	-	(763)
New leases	-	37,512	37,512
Remeasurement of lease liability	-	3	3
Release accrued lease payments	-	1,731	1,731
Total liability related – other changes	74,608	50,462	125,070
At 31 December 2023	851,549	236,691	1,088,240

Reconciliation of net cash flow to movements in net funds and analysis of net funds

The amounts disclosed on the cash flow statement in respect of cash and cash equivalents are in respect of these Balance sheet amounts.

	2023 £'000	Cash flow £'000	2024 £'000
Cash at bank	32,038	3,825	35,863

	2022 £'000	Cash flow £'000	2023 £'000
Cash at bank	17,143	14,895	32,038

Group net debt reconciliation

	2024 £'000	2023 £'000
Loans and borrowings		
Bank borrowings	948,788	851,549
Lease liabilities	294,241	236,691
Less: Cash at bank	(35,863)	(32,038)
Net debt	1,207,166	1,056,202

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

19 Provisions

	2024 £'000	2023 £'000
Provisions		
Non-current		
Provision for dilapidation costs	29,208	26,895
Current		
Provision for claims	3,612	2,825
At 31 December	32,820	29,720

	2024 £'000	2023 £'000
Provision for dilapidation costs		
At 1 January	26,895	23,245
Interest accretion	1,058	949
Remeasurement of dilapidations provisions	1,255	2,701
At 31 December	29,208	26,895

Dilapidation provisions relate to the cost of dismantling and removing equipment, fixtures and fittings and restoring premises to their original condition upon termination of leases at the end of the lease terms between 2037 and 2044. Because of the long-term nature of the liability, the greatest uncertainty in estimating the provision is the costs that will be incurred. In the current year, the Group engaged a third-party subject matter expert to provide an updated detailed estimate of the current value of likely restoration costs in line with the Group policy. The policy is to revalue dilapidation provisions on a triennial basis. The latest valuation was performed in 2022 (previous valuation in 2019).

The provision has then been calculated by discounting back at a risk-free rate relevant to the remaining lease term of each Data Centre site of 4.8-5.1% (2023: 3.8-4.0%). The impact of the updated valuation has been included as a remeasurement of the dilapidations provision.

The impact of reasonable potential variation in key input parameters to the estimates of dilapidation provisions and assets has been assessed by performing sensitivity analysis on the core assumptions of risk-free rate as at 31 December 2024, as follows:

	(Increase)/decrease in provision and asset £'000
Risk-free discount rate	
1.0 percentage point increase	(3,940)
1.0 percentage point decrease*	4,573

* The existing provision discounts at a risk-free rate relative to the remaining UEL of the lease.

	2024 £'000	2023 £'000
Provision for claims		
At 1 January	2,825	3,445
Provision made/(utilised) during the year	787	(620)
At 31 December	3,612	2,825

The provision relates to potential claims. The Group has appropriate insurance cover in place, however in line with IAS 37 no amounts have been recognised at the reporting date for any insurance recoveries.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

19 Provisions (continued)

As at the reporting date management have used their judgement to make an appropriate provision based on the information available, however these estimates may be affected by future events and information which cannot be predicted with any certainty.

20 Share capital and share premium

	Authorised			
	2024 Number	2024 £	2023 Number	2023 £
Authorised Ordinary shares of 100p each	Unlimited	Unlimited	Unlimited	Unlimited

	Allotted, issued and fully paid			
	2024 Number	2024 £	2023 Number	2023 £
Ordinary shares of 100p each At 1 January and 31 December	10	10	10	10

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Group. All shares rank equally with regard to the Group's residual assets.

21 Cash flow hedge reserves

The cash flow hedge reserve represents the cumulative amount of gains and losses on hedging instruments deemed effective in cash flow hedges. The cumulative deferred gain or loss on the hedging instrument is recognised in profit or loss only when the hedged transaction affects the profit or loss.

	2024 £'000	2023 £'000
At 1 January	16,581	28,457
Gain arising on changes in fair value of hedging instruments during the period	8,433	5,331
Tax on effective portion of losses recognised in other comprehensive income during the period	(2,109)	(1,333)
Gain reclassified to profit or loss - hedged item has affected profit or loss	(24,515)	(21,166)
Tax related to amounts reclassified to profit or loss	6,129	5,292
At 31 December	4,519	16,581
Total tax related to losses recognised in other comprehensive income during the year	4,020	3,959

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements for the year ended 31 December 2024 (continued)

22 Leases

22.1 Leases as a lessee

(i) Amounts accrued in the year

The following amounts have been accrued in the year for which the Group is a lessee:

	2024 £'000	2023 £'000
Interest expense on lease liabilities	8,950	8,411

Amounts recognised in statement of cash flows

	2024 £'000	2023 £'000
Total cash outflow for leases	21,468	20,145

Lease liabilities

	2024 £'000	2023 £'000
Non-current		
Lease liabilities	283,850	227,880
Current		
Lease liabilities	10,391	8,811
Total lease liabilities	294,241	236,691
Fair value	294,241	236,691

The nominal interest rate for the lease liabilities is 2.91%-8.56% (2023: 2.91%-7.50%) with maturity dates between January 2032 and April 2043.

The minimum lease payments for the lease liabilities fall due as follows:

	2024 £'000	2023 £'000
Within one year	26,998	20,267
Between one and five years	109,357	82,891
More than five years	331,742	244,703
	468,097	347,861
Future finance charges	(173,856)	(111,170)
	294,241	236,691
Total cash outflow for leases	(21,468)	(20,145)

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

22 Leases (continued)

22.1 Leases as a lessee (continued)

Extension options

The property leases contain extension options exercisable by the Group. Where practicable, the Group seeks to include extension options in new leases to provide operational flexibility. The extension options held are exercisable only by the Group and not by the lessors. The Group assesses at lease commencement date whether it is reasonably certain to exercise the extension options. The Group reassesses whether it is reasonably certain to exercise the options if there is a significant event or significant changes in circumstances within its control.

The Group has estimated that the potential future lease payments, should it exercise available extension options, would result in an increase in lease liability of £202.8m (2023: £160.7m). These extension options would however only be exercised upon expiry of the current lease terms in 2037-2044.

22.2 Leases as a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract across each individual lease component identified. When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

Operating leases

The Group has some contracts with customers which are classified as operating leases. The customer agreements vary, with most rising with indexation each year

During the year £16.8m (2023: £17.3m) was recognised as rental income by the Group.

The following table sets out a maturity analysis of lease payments to be received, showing the undiscounted lease payments to be received after the reporting date:

	2024 £'000	2023 £'000
Less than one year	8,305	7,324
Between one and two years	7,030	12,164
Between two and three years	6,186	5,487
Between three and four years	4,595	4,787
Between four and five years	3,933	3,761
More than five years	17,724	20,804
	<u>47,773</u>	<u>54,327</u>

23 Capital management

The Group regularly reviews its financial position, structure and use of capital, with the objective of achieving long-term capital efficiency, optimum total returns to shareholders and strategic positioning. The capital employed by the Group consists of equity attributable to shareholders and bank loans.

	2024 £'000	2023 £'000
Total equity	(107,628)	(113,961)
Bank loan	948,788	851,549
Total capital employed	<u>841,160</u>	<u>737,588</u>

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

23 Capital management (continued)

There were no changes in the Group's approach to capital management during the year.

The Group is subject to certain financial covenants which management monitors on a regular basis to ensure compliance.

The Group is not subject to externally imposed capital requirements.

24 Capital commitments

	2024 £'000	2023 £'000
Capital expenditure contracted but not provided for in the financial statements at 31 December	125,825	297,387

The capital expenditure contracted by the Group relates largely to the design and construction of its data centres.

VIRTUS Data Centres Properties Limited

Notes to the consolidated financial statements

for the year ended 31 December 2024 (continued)

25 Related party transactions

Related party relationship	Type of balances	2024 £'000	2023 £'000
Balances			
Parent	Amounts due from related parties	368,767	157,814
Amounts due from related parties (Note 17)		<u>368,767</u>	<u>157,814</u>
Parent	Amounts due to related parties	845,471	594,336
Amounts due to related parties (Note 17)		<u>845,471</u>	<u>594,336</u>
Transactions with related parties			
Parent	Management fee expense	25,590	31,054

26 Subsequent events

Subsequent to the year end the Group had received additional funding as follows:

- There were drawdowns of £38.0m from facility loans.

A £25m repayment of the revolving credit facility within the existing SN1 bank facilities had been made.

The Group considers all of the above events to be non-adjusting subsequent events in accordance with IAS 10 "Events after the reporting period".

27 Parent Company and Control

The immediate parent company is VIRTUS Holdco Limited which is registered in England and Wales. The ultimate parent company and controlling party is Temasek Holdings (Private) Limited, which is incorporated in the Republic of Singapore.

The largest group of undertakings for which group accounts are prepared and of which the company is part is the Group headed by Temasek Holdings (Private) Limited. Group financial statements for Temasek Holdings (Private) Limited are not available to the public. Summary financial statements are available from: www.temasek.com.sg/en/ourfinancials/group-financials.html.

VIRTUS Data Centres Properties Limited

Company statement of comprehensive income for the year ended 31 December 2024

	Notes	2024 £'000	2023 £'000
Operating expenses		-	-
Operating profit		-	-
Profit before tax		-	-
Taxation	7	(7)	1
(Loss)/ profit for the year		(7)	1
Other comprehensive income			
Items that are or may be reclassified subsequently to profit or loss:			
Deferred tax effect relating to the components of OCI	7	1	2
Other comprehensive income for the year		1	2
Total comprehensive (loss) / profit for the year		(6)	3

All amounts relate to continuing operations.

The notes on pages 77 to 92 form an integral part of these financial statements.

VIRTUS Data Centres Properties Limited

Company number: 09840065

Company statement of financial position

as at 31 December 2024

	Note	2024 £'000	2023 £'000
Assets			
Non-current assets			
Investment in subsidiaries	8	10,500	10,500
Current assets			
Other receivables	9	1	7
Total assets		<u>10,501</u>	<u>10,507</u>
Liabilities		-	-
Net assets		<u>10,501</u>	<u>10,507</u>
Equity			
Share capital	11	-	-
Cash flow hedge reserves	12	(1)	(2)
Retained earnings		10,502	10,509
Total equity		<u>10,501</u>	<u>10,507</u>

The financial statements on pages 74 to 92 were approved and authorised for issue by the Board of Directors on 11 August 2025 and were signed on its behalf by:



D R L Seaton
Director

The notes on pages 77 to 92 form an integral part of these financial statements.

VIRTUS Data Centres Properties Limited

Company statement of changes in equity

for the year ended 31 December 2024

	Share capital*	Cash flow hedge reserves	Retained earnings	Total equity
	£'000	£'000	£'000	£'000
At 1 January 2023	-	(4)	10,508	10,504
Profit for the year	-	-	1	1
Other comprehensive income	-	2	-	2
Total	-	2	1	3
At 31 December 2023	-	(2)	10,509	10,507
At 1 January 2024	-	(2)	10,509	10,507
Loss for the year	-	-	(7)	(7)
Other comprehensive income	-	1	-	1
Total	-	1	(7)	(5)
At 31 December 2024	-	(1)	10,502	10,501

*Share capital amounts to a total of £10 ordinary shares. Refer to Note 11.

The notes on pages 77 to 92 form an integral part of these financial statements.

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024

1 Company background

VIRTUS Data Centres Properties Limited (the "Company") is a private company limited by shares incorporated, domiciled and registered in England and Wales. The registered number is 09840065 and the registered office is 4th Floor, 20 Balderton Street, London, W1K 6TL.

The Company acts as a holding company of data centre owning and operating entities within the VIRTUS Group. VIRTUS designs, builds, operates and maintains carrier neutral Data Centres in the United Kingdom.

The principal business is the provision of reliable, resilient and responsible digital infrastructure to enable delivery of colocation services within these facilities to our customers.

2 Accounting Policies

2.1 Basis of preparation of financial statements

These financial statements were prepared in accordance with Financial Reporting Standard 101 *Reduced Disclosure Framework* ("FRS 101"). The principal accounting policies adopted in the preparation of the financial statements are set out below.

The presentation currency used is pounds sterling and amounts have been presented in round thousands ("£000s").

Disclosure exemptions adopted

In preparing these financial statements the Company applies the recognition, measurement and disclosure requirements of UK-adopted international accounting standards ("UK-adopted IFRS"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The smallest parent group undertaking (Note 15), VIRTUS Holdco Limited includes the Company in its consolidated financial statements. The consolidated financial statements of VIRTUS Holdco Limited are prepared in accordance with UK-adopted IFRS and are available to the public and may be obtained from 4th Floor, 20 Balderton Street, London, W1K 6TL.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- the effect of new but not yet effective IFRS's;
- certain comparative information as otherwise required by UK-adopted IFRS;
- certain disclosures regarding the Company's capital management;
- the disclosure in respect of the compensation of Key Management Personnel;
- disclosure of related party transactions with other wholly owned members of the Group headed by VIRTUS Holdco Limited; and
- Statement of cash flows and related notes.

2.2 Functional and presentation currency

The financial statements are presented in Pounds Sterling, which is also the Company's functional currency.

Amounts are rounded to the nearest thousand, unless otherwise stated.

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

2 Accounting Policies (continued)

2.3 Basis of measurement

The financial statements have been prepared on a historical cost basis, except for certain financial instruments which are stated at fair value.

2.4 Use of judgements and estimates

The preparation of financial statements in compliance with UK-adopted IFRS requires the use of certain critical accounting estimates. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

It also requires Company's management to exercise judgment in applying the Company's accounting policies. The areas where significant judgments and estimates have been made in preparing the financial statements and their effect are disclosed in note 4.

2.5 Going concern

Notwithstanding a loss for the year of £7k (2023: £3k profit), the financial statements have been prepared on a going concern basis which the directors consider to be appropriate for the following reasons.

As at 31 December 2024, the Company had net assets of £10.5m (2023: £10.5m) and net current assets of £1k (2023: net current assets of £7k)

However, as the Company has net current liabilities at the year-end it may need to rely on financial support from a parent company within the Group, namely STT VIRTUS Holdco Ltd. STT VIRTUS Holdco Ltd has indicated its intention to continue to make available such funds as are needed by the Company for the period covered by the forecasts. The directors note that this intention is aligned with the expansion strategy of the Group. As with any company placing reliance on other group entities for financial support, the directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

Consequently, the directors are confident that the Group will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

2.6 Standards issued but not yet effective

New and amended standards and interpretations

The Company applied the following standards and amendments for the first time, effective for annual periods starting on or after 1 January 2024. The Company has not early adopted any other standard, interpretation, or amendment that has been issued but is not yet effective. The amendment mentioned did not have any material impact on the amounts recognized in prior periods and is not expected to significantly affect the current or future periods.

- Amendments to IAS 1 Presentation of Financial Statements - Classification of Liabilities as Current or Non-current, effective 1 January 2024.

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

2 Accounting Policies (continued)

2.7 Investments in subsidiaries

Where the Company has control over an investee, it is classified as a subsidiary. The Company controls an investee if all three of the following elements are present: power over the investee, exposure to variable returns from the investee, and the ability of the investor to use its power to affect those variable returns. Control is reassessed whenever facts and circumstances indicate that there may be a change in any of the elements of control.

Investments in subsidiaries are held at cost less impairment, if any. Carrying values of subsidiaries are assessed against the higher of their value in use, or fair values less cost to sell. Where the carrying value is determined to be higher than the appropriate valuation an impairment is recognised to reduce the carrying value.

2.8 Financial instruments

Financial assets

Recognition and initial measurement

Trade receivables are initially recognised when they are originated. All other financial assets are initially recognised when the Company becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at fair value through profit and loss (FVTPL), transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

Classification and subsequent measurement

On initial recognition, a financial asset is classified as measured at: amortised cost; fair value through other comprehensive income (FVOCI) – debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Company changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

Financial assets at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at FVTPL

All financial assets not classified as measured at amortised cost or FVOCI are measured at FVTPL. This includes some derivative financial assets. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

2 Accounting Policies (continued)

2.8 Financial instruments (continued)

Cash and cash equivalents

Cash and cash equivalents include cash in hand, deposits held at call with banks and other short term highly liquid investments with original maturities of three months or less.

Business model assessment

The Company makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice;
- how the performance of the portfolio is evaluated and reported to the Company's management;
- the risks that affect the performance of the business model and how those risks are managed;
- how managers of the business are compensated; and
- the frequency, volume and timing of sales of financial assets in prior period, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Company's continuing recognition of the assets.

Financial assets that are held-for-trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Assessment of whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Company considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable rate features;
- prepayment and extension features; and
- terms that limit the Company's claim to cash flows from specified assets (e.g. non-recourse features).

Subsequent measurement of gains and losses

Financial assets at FVTPL

These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

2 Accounting Policies (continued)

2.8 Financial instruments (continued)

Subsequent measurement of gains and losses (continued)

Financial assets at amortised cost

These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

Debt investments at FVOCI

These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in other comprehensive income ("OCI"). On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.

Equity investments at FVOCI

These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Interest rate benchmark reform

When the basis for determining the contractual cash flows of a financial asset or financial liability measured at amortised cost changed as a result of interest benchmark reform, the Company updated the effective interest rate of the financial asset or financial liability to reflect the change that is required by the reform.

A change in the basis for determining the contractual cash flows is required by interest rate benchmark reform if the following conditions are met:

- The change is necessary as a direct consequence of the reform; and
- The new basis for determining the contractual cash flows is economically equivalent to the previous basis - i.e., the basis immediately before the change.

When the changes were made to a financial asset or a financial liability in addition to changes to the basis for determining the contractual cash flows required by interest rate benchmark reform, the Company first updated the effective interest rate of the financial asset or financial liability to reflect the change that is required by interest rate benchmark reform. After that, the Company applied the policies on accounting for modifications to the additional changes.

Financial liabilities and equity

Financial instruments issued by the Company are treated as equity only to the extent that they meet the following two conditions:

- they include no contractual obligations upon the Company to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the Company; and
- where the instrument will or may be settled in the Company's own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the Company's own equity instruments or is a derivative that will be settled by the Company's exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

2 Accounting Policies (continued)

2.8 Financial instruments (continued)

Financial liabilities and equity (continued)

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability. Where the instrument so classified takes the legal form of the Company's own shares, the amounts presented in these financial statements for called-up share capital and share premium account exclude amounts in relation to those shares.

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative, or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

Impairment

The Company recognises loss allowances for expected credit losses (ECLs) on financial assets measured at amortised cost and contract assets.

Loss allowances of the Company are measured on either of the following bases:

- 12-month ECLs: these are ECLs that result from default events that are possible within the 12 months after the reporting date (or for a shorter period if the expected life of the instrument is less than 12 months); or
- Lifetime ECLs: these are ECLs that result from all possible default events over the expected life of a financial instrument or contract asset.

The maximum period considered when estimating ECLs is the maximum contractual period over which the Company is exposed to credit risk.

Simplified approach

The Company applies the simplified approach to provide for ECLs for trade receivables and contract assets. The simplified approach requires the loss allowance to be measured at an amount equal to lifetime ECLs.

General approach

The Company applies the general approach to provide for ECLs on all other financial instruments. Under the general approach, the loss allowance is measured at an amount equal to 12-month ECLs at initial recognition.

At each reporting date, the Company assesses whether the credit risk of a financial instrument has increased significantly since initial recognition. When credit risk has increased significantly since initial recognition, loss allowance is measured at an amount equal to lifetime ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and informed credit assessment and includes forward-looking information.

If credit risk has not increased significantly since initial recognition or if the credit quality of the financial instruments improves such that there is no longer a significant increase in credit risk since initial recognition, loss allowance is measured at an amount equal to 12-month ECLs.

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

2 Accounting Policies (continued)

2.8 Financial instruments (continued)

Impairment (continued)

The Company considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to actions such as realising security (if any is held); or
- the financial asset is more than 360 days past due
- the Company considers a contract asset to be in default when the customer is unlikely to pay its contractual obligations to the Company in full, without recourse by the Company to actions such as realising security (if any is held).

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Company expects to receive). ECLs are discounted at the effective interest rate of the financial asset.

Credit-impaired financial assets

At each reporting date, the Company assesses whether financial assets carried at amortised cost are credit impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the debtor;
- a breach of contract such as a default or being more than 360 days past due;
- the restructuring of a loan or advance by the Company on terms that the Company would not consider otherwise;
- it is probable that the debtor will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

- Loss allowances for financial assets measured at amortised cost and contract assets are deducted from the gross carrying amount of the assets.

Write-offs

The gross carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Company determines that the debtor does not have assets or sources of income that could generate sufficient cashflows to repay the amounts subject to write off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with Company's procedures for recovery of amounts due.

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

2 Accounting Policies (continued)

2.8 Financial instruments (continued)

Impairment (continued)

Derecognition

The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

Financial liabilities

Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense is recognised in profit or loss. Any gain or loss on derecognition is also recognised in the Company statement of comprehensive income.

The Company classifies its financial liabilities into one category based on the purpose for which the liability was acquired.

Financial liabilities at amortised cost

Financial liabilities at amortised cost include the following items:

- Trade payables and other short-term monetary liabilities, which are initially recognised at fair value and are subsequently carried at amortised cost using the effective interest method.
- Lease liabilities relating to leasehold land and buildings where the Company is a lessee. Accounting for lease liabilities is detailed in the accounting policy on leases.

Derecognition

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Company also derecognises a financial liability when its terms are modified, and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of a financial liability the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred, or liabilities assumed) is recognised in the Statement of comprehensive income.

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

2 Accounting Policies (continued)

2.8 Financial instruments (continued)

Financial liabilities (continued)

Modification

When the contractual cash flows of a financial liability are renegotiated or otherwise modified and the renegotiation or modification does not result in the derecognition of that financial asset, the gross carrying amount of the financial liability is recalculated and a modification gain or loss is recognised in profit or loss. For floating rate financial liabilities, the gross carrying amount is recalculated as the present value of the renegotiated or modified contractual cash flows that are discounted at the financial liability's revised effective interest rate. Any costs or fees incurred are expensed on modification of the financial liability.

Offsetting financial instruments

Financial assets and liabilities are offset, and the net amount reported in the statement of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

2.9 Impairment of non-financial assets (excluding deferred tax assets)

Non-financial assets are subject to impairment tests whenever events or changes in circumstances indicate that their carrying amount may not be recoverable.

Where the carrying value of an asset exceeds its recoverable amount, (i.e. the higher of value in use and fair value less costs to sell), the asset is written down accordingly. Value in use is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Impairment charges are included in the Company statement of comprehensive income, except to the extent they reverse gains previously recognised in other comprehensive income. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. However, an impairment loss in respect of goodwill is not reversed.

2.10 Share capital

Financial instruments issued by the Company are classified as equity only to the extent that they do not meet the definition of a financial liability or financial asset. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects. The Company's ordinary shares are classified as equity instruments

2.11 Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the profit or loss, except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity or in OCI.

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

2 Accounting Policies (continued)

2.11 Taxation (continued)

2.11.1 Current tax

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years. The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. Current tax assets and liabilities are offset only if certain criteria are met.

2.11.2 Deferred tax

Deferred tax is provided on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

Deferred tax assets are recognised for the unused tax losses, unused tax credits and deductible temporary differences only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Future taxable profits are determined based on the reversal of relevant taxable temporary differences. If the amount of taxable temporary differences is insufficient to recognise a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered, based on the business plan for individual subsidiaries of the Company. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised; such reductions are reversed when the probability of future taxable profits improves.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date and reflects uncertainty related to income taxes, if any.

Deferred tax assets and liabilities are offset only if certain criteria are met.

3 UK-adopted IFRS standards issued but not yet effective

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Company are disclosed below. The Company intends to adopt these new and amended standards and interpretations, if applicable, when they become effective.

- Amendments to IFRS 18 Presentation and Disclosure in Financial Statements (effective from 1 January 2027).

4 Significant accounting judgements, estimates and assumptions

The Company makes certain estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Estimates and judgements are continually evaluated based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may differ from these estimates and assumptions. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

4 Significant accounting judgements, estimates and assumptions (continued)

Judgements

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognised in the financial statements are discussed below.

(a) Impairment of investment in subsidiaries

An investment in a subsidiary is impaired if the carrying amount exceeds its recoverable amount. The determination of whether an investment in a subsidiary is impaired requires the exercise of management judgement.

5 Employee benefit expense

Directors' remuneration

	2024 £'000	2023 £'000
Directors' remuneration	1,341	1,348
Company contributions to money purchase pension plans	3	3
Amounts receivable under long-term incentive schemes	2,627	4,693
	<u>3,970</u>	<u>6,044</u>
Remuneration of the highest paid director	2,680	4,265
Directors who are members of money purchase pension plans	2	2

During the current year, none of the directors exercised share purchase options (2023: none).

The directors' remuneration is borne by the parent entity.

6 Auditor's Remuneration

The auditor's remuneration is borne by the parent entity. Auditor's remuneration for the audit of the Company for the year ended 31 December 2024 is £13,870 (2023: £13,000).

All auditor's remuneration in the current period and the prior period related to provision of audit services.

7 Taxation

The Company is a member of VIRTUS Enfield LLP (the LLP). Taxation on members' share of the LLP's profits is solely the personal liability of the individual members, therefore the disclosure below includes the tax charged on the Company's share of profit in the LLP. The loss of the Company including the 1% (2023: 1%) share of loss in the LLP is £16,265 (2023: £18,075).

	2024 £'000	2023 £'000
Current tax:		
UK corporation tax	-	-
Deferred tax:		
Origination and reversal of timing differences	2	(1)
Adjustments in respect of prior years	5	-
Tax charge/(credit) for the year	<u>7</u>	<u>(1)</u>

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

7 Taxation (continued)

Deferred tax assets and liabilities have been calculated based on the substantively enacted rate of 25% (2023: 25%).

The reasons for the difference between the actual tax charge for the year and the standard rate of corporation tax in the United Kingdom applied to the loss for the year are as follows:

Reconciliation of the total tax charge:

The tax charge assessed for the year (2023: 23.5%) is higher than the standard rate of corporation tax in the UK of 25%. The differences are explained below:

	2024 £'000	2023 £'000
Loss/(profit) before tax	(16)	(27)
Profit/(loss) at the standard rate of corporation tax in the UK of 25% (2023: 23.5%)	(4)	(6)
Effects of:		
Non-deductible expenses	1	1
Group tax relief surrendered/(claimed)	5	5
Change in tax rates	-	(1)
Adjustments in respect of prior years	5	-
Tax charge/(credit) for the year	7	(1)

Deferred tax

Deferred tax assets have not been recognised in respect of the following items:

	2024 £'000	2023 £'000
Corporate interest restrictions	2	2

The deductible temporary differences and tax losses do not expire under current tax legislation. Deferred tax assets have not been recognised in respect of these items because of uncertainty regarding the timing of future taxable profits against which the Company can utilise the benefits.

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

7 Taxation (continued)

Movements in deferred tax assets and liabilities position during the year are as follows:

	At 1 January 2024 £'000	Recognised in income statement £'000	Recognised in other comprehensive income £'000	At 31 December 2024 £'000
Deferred tax assets				
Property, plant and equipment	9	(7)	-	2
	9	(7)	-	2
Deferred tax liabilities				
Derivative financial instruments	(2)	-	1	(1)
	(2)	-	1	(1)
Net deferred tax assets	7	(7)	1	1

	At 1 January 2023 £'000	Recognised in income statement £'000	Recognised in other comprehensive income £'000	At 31 December 2023 £'000
Deferred tax assets				
Property, plant and equipment	8	1	-	9
	8	1	-	9
Deferred tax liabilities				
Derivative financial instruments	(4)	-	2	(2)
	(4)	-	2	(2)
Net deferred tax assets	4	1	2	7

The deferred tax liability on derivative financial instrument relates to the members' share of the impact on the effective portion of the cumulative net change in the fair value of cash flow hedging instruments held by VIRTUS Enfield LLP (the "LLP").

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

8 Investments in subsidiaries

	2024 £'000	2023 £'000
At 1 January and 31 December	10,500	10,500

As at 31 December 2024, the principal subsidiaries held directly or indirectly by the Company, were as follows:

Name	Country of incorporation and principal place of business	Proportion of ownership of interest at 31 December 2024	Proportion of ownership of interest at 31 December 2023	Nature of business
Direct Investments				
VIRTUS Hayes Limited	England	100%**	100%**	Owner of LONDON2 (Hayes) data centre
VIRTUS Enfield (Data Centres) Limited	England	100%**	100%**	Intermediate holding Company
VIRTUS Slough Limited	England	100%**	100%**	Owner of LONDON3 and LONDON4 data centres
VIRTUS LONDON 5 Limited	England	100%**	100%**	Owner of LONDON5 data centre
VIRTUS LONDON 6 Limited	England	100%**	100%**	Owner of LONDON6 data centre
VIRTUS LONDON 7 Limited	England	100%**	100%**	Owner of LONDON7 data centre
VIRTUS LONDON 8 Limited	England	100%**	100%**	Owner of LONDON8 data centre
VIRTUS LONDON 9 Limited	England	100%**	100%**	Owner of LONDON9 data centre
VIRTUS LONDON 10 Limited	England	100%**	100%**	Owner of LONDON10 data centre
VIRTUS LONDON 11 Limited	England	100%**	100%**	Owner of LONDON11 data centre
VIRTUS LONDON 12 Limited	England	100%**	100%**	SPV holding net assets of future LONDON12 data centre
VIRTUS LONDON 14 Limited	England	100%**	100%**	SPV to hold net assets of future LONDON14 data centre
VIRTUS LONDON 15 Limited	England	100%**	100%**	SPV to hold net assets of future LONDON15 data centre
Indirect Investments				
VIRTUS (Enfield) LLP	England	100***	100***	Owner of LONDON1 (Enfield) data centre
Enfield DC Service Company Limited	England	100%**	100%**	Data centre operator and manager

The registered address of the subsidiaries incorporated in England is 4th Floor, 20 Balderton Street, London, W1K 6TL.

***All Share Capital held in the investment listed is Ordinary Share Capital.*

****Member's Capital in the LLP classed as equity.*

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

9 Other receivables

	2024 £'000	2023 £'000
Amounts owed by group undertakings	-	-
Deferred tax assets (net)	1	7
	<u>1</u>	<u>7</u>

Amounts owed by group undertakings of £2 (2023: £2) are unsecured, interest free, have no fixed date of repayment and are repayable on demand. However, they are not expected to be settled within 12 months at the balance sheet date.

Deferred tax assets fall due after more than one year.

10 Trade and other payables

Amounts owed to group undertakings £20 (2023: £20) are unsecured, interest free, have no fixed date of repayment and are repayable on demand.

11 Share capital

	Authorised			
	2024 Number	2024 £	2023 Number	2023 £
Authorised				
Ordinary shares of 100p each	Unlimited	Unlimited	Unlimited	Unlimited

	Allotted, issued and fully paid			
	2024 Number	2024 £	2023 Number	2023 £
Ordinary shares of 100p each				
At 1 January and 31 December	10	10	10	10

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company. All shares rank equally with regard to the Company's residual assets.

12 Cash flow hedge reserves

	2024 £'000	2023 £'000
Cash flow hedge reserve	<u>1</u>	<u>2</u>

The hedging reserve comprises the tax impact on the effective portion of the cumulative net change in the fair value of cash flow hedging instruments related to hedged transactions that have not yet occurred for hedged instruments held by VIRTUS Enfield LLP (the LLP).

VIRTUS Data Centres Properties Limited

Notes to the company financial statements

for the year ended 31 December 2024 (continued)

12 Cash flow hedge reserves (continued)

	2024 £'000	2023 £'000
At 1 January	-	-
Deferred tax on items that are or may be reclassified subsequently to profit or loss	1	2
At 31 December	1	2
Total tax related to losses recognised in other comprehensive income during the year	1	2

13 Related party transactions

As permitted by FRS 101, the Company has taken advantage of the disclosure exemption available under IAS 24 applicable to related party transactions entered into between two or more wholly-owned subsidiaries within the VIRTUS Group.

14 Subsequent events

Subsequent to the year end and to the date of signing of these financial statement, the Company has no events to report.

15 Parent Company and Control

The immediate parent company is VIRTUS Holdco Limited, which is registered in England and Wales. The ultimate parent company and controlling party is Temasek Holdings (Private) Limited, which is incorporated in the Republic of Singapore.

The largest group of undertakings for which group accounts are prepared and of which the company is part is the Group headed by Temasek Holdings (Private) Limited. Group financial statements for Temasek Holdings (Private) Limited are not available to the public. Summary financial statements are available from: www.temasek.com.sg/en/our-financials/group-financials.html.